STUDY

UK FM Roll-Up Opportunities

An authoritative and analytical overview of roll-up opportunities in the UK facilities management sector, targeted at investors and M&A professionals.

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STUDY REPORT

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Executive Summary

Finding 1 — UK FM market to reach £60–66bn by 2026

The UK facilities management market is projected to reach £60–66 billion by 2026, including £35 billion in outsourced services. Growth is being driven by outsourcing, compliance requirements, energy efficiency, and technology integration, although profit margins remain typically low.

Finding 2 — Technical and compliance-led sub-sectors offer strongest consolidation potential

Hard FM and specialist technical services stand out because they have higher barriers to entry, fragmented supply, and better pricing leverage than more commoditized soft FM. The strongest investment themes center on technically focused, compliance-driven service lines where scalable operators can consolidate SMEs with solid contractual and professional foundations.

Finding 3 — M&A activity is accelerating, led by PE buy-and-build strategies

M&A activity has surged, with private equity firms favoring capability-led buy-and-build strategies. Acquirers are targeting compliance-focused service lines and platform models built on recurring revenue, regional density, quality acquisitions, and strong integration capabilities.

Finding 4 — Fire & security and TIC are leading roll-up verticals

Fire and security has emerged as the leading roll-up vertical due to regulatory demand, recurring income, and fragmented ownership. The TIC market is also expanding on non-discretionary, regulation-driven demand, with particularly strong consolidation potential in environmental and safety testing and appeal from stable revenue and limited service disruption.

Finding 5 — Aftermarket-led technical services remain attractive despite cost pressure

Lifts and vertical transport offer attractive economics beyond initial installation, with the aftermarket remaining competitive for regional players because of entrenched customer relationships and fragmented supply chains. Mechanical, electrical, and building maintenance are also showing strong growth, but labor cost inflation is increasing pressure and favoring larger, scalable operators able to absorb rising expenses.

Finding 6 — Soft FM remains active but margins are under strain

Soft FM services such as cleaning continue to attract acquisitions, but labor cost inflation is compressing margins. Buyers are increasingly favoring specialized providers in areas such as healthcare and food manufacturing, where compliance, auditability, and operational efficiency support more defensible growth.

1

Market Overview and Fragmentation Landscape

1 Market Overview and Fragmentation Landscape

The UK facilities management market remains a large, mature and structurally diverse services market, with total market value in 2026 clustering around £60 billion to £66 billion when converted from current third party market estimates, while the outsourced FM segment alone is materially smaller at just over £35 billion. Third party market sources point to low single digit growth, with 2026 to 2031 CAGR estimates around 2.7% and outsourced market growth in 2025 around 3.2%, indicating a steady rather than cyclical expansion profile driven by outsourcing, compliance, energy efficiency and technology adoption rather than volume growth alone.[13, 26]

Structurally, the market combines a relatively concentrated national tier with a very long tail of regional and specialist SMEs. ONS data confirms that the UK SIC 81.00 combined facilities management category is only one visible slice of the market, while broader FM activity is spread across cleaning, security, catering, M&E, compliance and specialist technical services, which is why concentration can look moderate at headline level while remaining highly fragmented in the underlying service lines.[17, 11]

1.1 Market Scale and Structure

- Market size: A current third party estimate values the UK FM market at USD 83.29 billion in 2026, equivalent to roughly £62 billion to £66 billion at prevailing 2026 exchange ranges, which is consistent with the investor shorthand of a £60 billion to £70 billion addressable market. The same source forecasts growth to USD 95.24 billion by 2031, implying a 2.71% CAGR from 2026 to 2031.[13]
- Outsourced market lens: CBRE, citing Frost & Sullivan, states that the UK outsourced FM market was worth over £35 billion and grew 4.1% in 2024, with growth moderating to 3.2% in 2025. This distinction matters for M&A because most roll up strategies target outsourced service providers rather than in house estates functions.[26]
- Service mix: Hard services represented 60.12% of UK FM market share in 2025 in Mordor Intelligence’s segmentation, while outsourced delivery accounted for 63.85% of the market. For investors, this indicates that the largest revenue pools sit in technically led and outsourced contracts, where compliance intensity and asset criticality support better retention and more defensible margins.[13]
- Demand profile: RICS positions its UK FM survey as a quarterly indicator of demand, activity and sentiment across service providers, consultancies and facilities managers, reinforcing that the market is broad based and operationally resilient rather than dependent on a single end market. The practical implication is that FM behaves more like a diversified business services category than a pure construction adjacency.[14]
- Structural landscape: The market spans integrated FM, bundled contracts and single service specialists across commercial, public and institutional estates. That structure creates a two speed market in which large national providers win complex multi service frameworks, while regional and niche operators dominate local hard FM, cleaning, security, compliance testing and specialist maintenance.[13, 26]

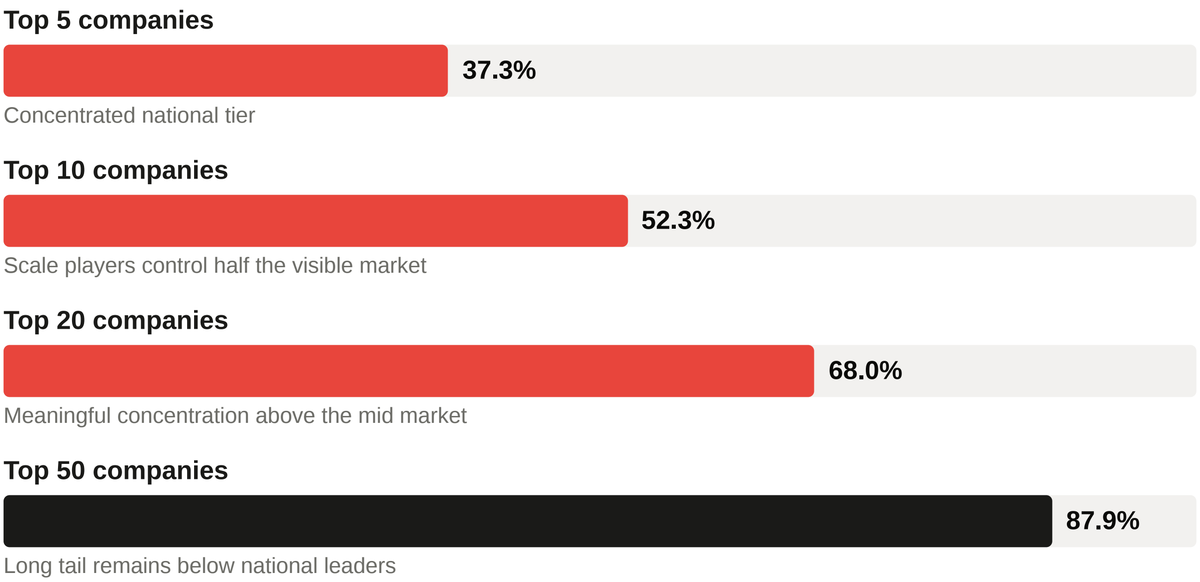
1.2

Fragmentation Details

Title — UK FM visible market concentration

CONCENTRATION BAND	SHARE OF TURNOVER	INTERPRETATION
Top 5 companies	37.3%	Concentrated national tier
Top 10 companies	52.3%	Scale players control half the visible market
Top 20 companies	68.0%	Meaningful concentration above the mid market
Top 50 companies	87.9%	Long tail remains below national leaders

Source: [11]



- Concentration benchmark: The visible UK FM company universe analysed by The Accounts shows the top five companies holding 37.3% of turnover and the top 20 holding 68.0%. Those figures align closely with the concentration ratios in your brief and support the view that UK FM is concentrated at the top but still fragmented enough below that level to sustain roll up strategies.[11]
- Important caveat: The same source explicitly notes that concentration is both understated and overstated because major groups report through multiple legal entities, while some of the largest FM activities sit outside the mapped sample in catering, security and support services classifications. For M&A work, this means concentration should be read as directional evidence of market shape rather than a competition law grade market share calculation.[11]
- SME long tail: The Accounts dataset covers 151 UK FM companies with full profit and loss disclosure and states that the long tail of small contractors often files abridged accounts with no figures. This is a useful proxy for the real fragmentation investors encounter in origination, where many targets are sub scale, privately owned and only partially visible in public data.[11]

- Owner managed profile: The regional mid market appears to be the healthiest part of the market, with 82% to 85% of companies profitable in the £5 million to £100 million turnover bands, versus only 45% profitability in the sub £1 million band. That pattern suggests the most actionable buy and build targets are often established regional operators that have already achieved local density but lack succession, systems and national sales capability.[11]
- Margin reality: The median operator keeps about 4 pence of every pound of contract revenue, underscoring that scale, route density, labour management and service specialism are central to value creation. In fragmented sub sectors, acquirers are not simply buying revenue but the opportunity to professionalise pricing, procurement, workforce scheduling and compliance infrastructure.[11]

1.3

Sub-Sector Variances

- Hard FM: Hard services are the largest part of the market, with 60.12% share in 2025 according to Mordor Intelligence, and they tend to be less fragmented than commoditised soft services at the national contract level because technical accreditation, self delivery capability and compliance risk create barriers to entry. Even so, beneath the top tier the market remains highly regional, especially in M&E maintenance, building fabric, HVAC, lifts and statutory compliance work.[13]
- Soft FM: Cleaning, reception, support and other labour intensive soft services are typically the most fragmented in operational delivery, with many local and sector specific providers competing on workforce availability, service quality and contract responsiveness. However, the upper end of soft FM can still consolidate quickly because national buyers often prefer scaled providers for multisite contracts, creating a barbell structure of a few large outsourcers and a very large SME tail.[11] [26]
- Specialist services: Compliance driven niches such as fire safety, security systems, water hygiene, asbestos, testing and inspection, outdoor estates and environmental services are usually the most attractive roll up segments because fragmentation remains high while pricing is less purely labour arbitrage based. The Accounts highlights that specialist operators can materially outperform generalists on margin, citing niche technical and compliance led businesses as stronger performers than broad based FM competitors.[11]
- Why fragmentation differs: Fragmentation is lowest where national procurement, bundled contracts and balance sheet strength matter, and highest where service delivery depends on local engineer density, founder relationships, specialist certifications or narrow end market expertise. This is why integrated FM appears more concentrated than the underlying service lines that feed it.[13] [11]
- Investment implication: The best roll up conditions usually sit in the middle ground between commoditised scale and tiny sub scale operators, namely regional hard FM and specialist compliance businesses with recurring contracts, technical staff and fragmented local competition. By contrast, broad soft FM offers larger target pools but generally requires sharper labour management and procurement discipline to defend margins.[26] [11]

2

M&A Activity and Private Equity Dynamics

2

M&A Activity and Private Equity Dynamics

UK FM M&A moved from a steady post-pandemic run rate into a clear acceleration phase in 2025, with 181 completed transactions versus 118 in 2024, while Q2 2026 activity remained elevated at 50 deals, 31% above the long-term quarterly average of 38. The pattern is not simply cyclical volume recovery. It reflects a sharper buyer preference for technical, compliance-led and recurring-revenue service lines, particularly in hard FM and specialist niches where fragmentation remains high and integration pathways are clearer.[42, 43, 75]

Private equity remains the principal consolidating force, but its behaviour has become more selective. Capital is being deployed less toward broad multi-service aggregation and more toward capability-led buy-and-build strategies, with bolt-ons concentrated in single-service specialists that deepen technical density, compliance credentials and route-based coverage. This has supported firmer valuation outcomes for premium assets and widened the gap between specialist hard FM platforms and more labour-intensive, commoditised soft FM operators.[42, 43, 57]

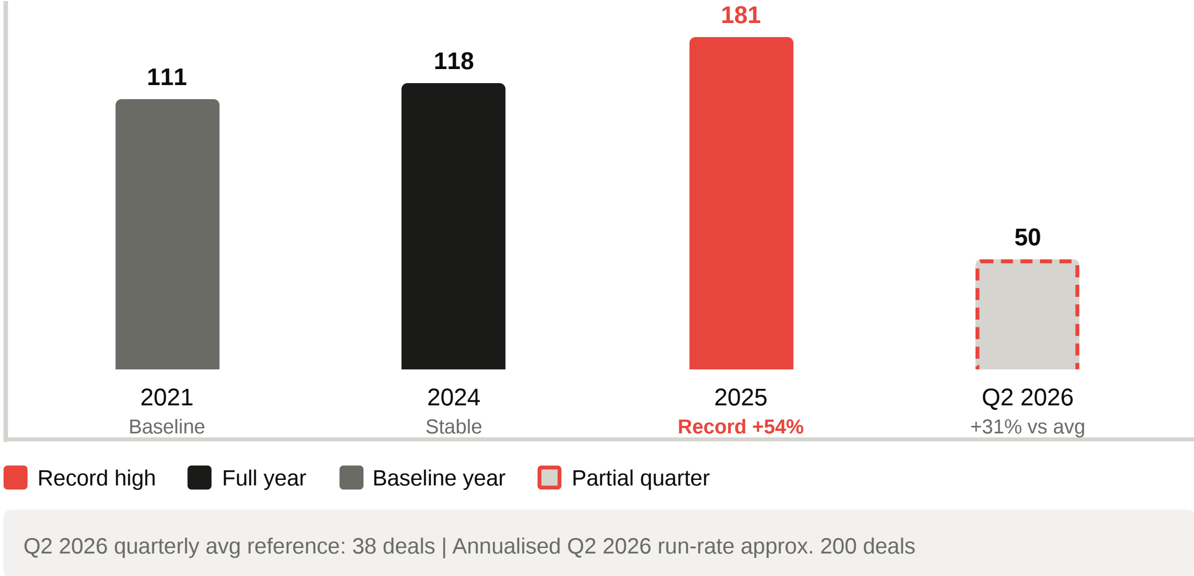
2.1

Deal Volume Trends

Title — UK FM M&A activity trend

PERIOD	DEAL VOLUME	KEY READ-THROUGH
2021	c.111	Baseline year in the current tracked cycle.
2024	118	Stable market before breakout acceleration.
2025	181	Record year, up 54% year on year.
Q2 2026	50	31% above long-term quarterly average of 38.

Source: [42, 43]



- The 2021 to 2024 period was comparatively range-bound, with annual totals broadly around 111 to 118 deals, before 2025 broke materially above trend at 181 transactions. That step-up matters because it indicates a structural broadening of buyer appetite rather than a one-quarter spike.[42]
- Q4 2025 was the busiest quarter in Moore Kingston Smith's dataset at 56 deals, suggesting that financing confidence and seller willingness improved as the year progressed. The implication for investors is that process competition intensified late in the year, especially for specialist technical assets.[42]
- Activity remained resilient into 2026 rather than reverting to pre-breakout levels. Arrowpoint recorded 50 UK and Ireland FM transactions in Q2 2026, with the last five quarters all above the long-term average, indicating that the 2025 surge has carried into the current market.[43]
- The mix of deals has shifted decisively toward hard and technical services. BDO states that building maintenance and M&E deals rose 24% in 2025 and represented 50% of all FM deals, up from 31% in 2021 and around 41% in 2024, confirming that buyers are prioritising engineering-led and compliance-sensitive categories over broader generalist exposure.[75]
- Fire systems and lifts were especially important contributors to 2025 volume growth. Moore Kingston Smith reports 56 deals in those two verticals combined in 2025 versus 42 in 2024, with nearly one-third of all 2025 FM deals involving businesses providing those services.[42]
- The underlying demand drivers are unusually supportive for sustained consolidation. Essential-service characteristics, recurring maintenance income, regulatory compliance, decarbonisation requirements and ageing building stock all create a pipeline of assets that can be underwritten on resilience rather than discretionary capex exposure.[42] [43] [75]

2.2

Private Equity Strategies

- Private equity remained central to sector activity in 2025, completing 90 transactions, equivalent to roughly half of all FM deals in the year. While the PE share dipped slightly from the prior year's peak, the absolute level of activity remained high and confirms that sponsor-backed buyers continue to set the pace in UK FM consolidation.[42]

- The dominant strategy is buy-and-build rather than standalone platform creation. Moore Kingston Smith states that more than 80% of PE-backed deals in 2025 were bolt-ons, showing that sponsors are using existing platforms to add density, technical capability and local coverage rather than paying full platform prices repeatedly.[42]
- PE strategy has become more focused on specialist depth. In 2025, 73% of PE-backed bolt-ons were single-service providers, up from 60% in the previous year, which indicates a deliberate move toward acquiring narrow but defensible technical expertise rather than broadening service menus indiscriminately.[42]
- Compliance-led hard FM is the main deployment zone. Moore Kingston Smith identifies fire systems and lifts as accounting for just under half of all 2025 bolt-ons, while Grant Thornton reports that PE-backed businesses drove 70% of all fire and security transactions in 2025, reinforcing that sponsor capital is clustering where regulation, recurring inspection cycles and technical barriers support stronger underwriting.[42, 48]
- The strategic logic is operational as much as financial. Bolt-ons in FM can be integrated through shared procurement, engineer scheduling, compliance systems, customer cross-sell and branch rationalisation, but the highest-value cases are those where the acquired business adds accredited capability, local engineer density or access to regulated end markets.[42, 75]
- Dry powder remains supportive even if broader UK PE volumes softened in 2025. BDO explicitly cites ample dry powder behind FM investment appetite, while KPMG's 2025 UK Private Equity Review shows overall UK PE deal count fell 10% year on year but bolt-ons still represented 59% of all deals, implying that FM's resilience and fragmentation continue to attract capital despite a more selective wider market.[75, 45]
- In 2026, PE appetite appears strongest for businesses that combine recurring maintenance revenues, skilled labour pools, critical end-market exposure and compliance-led demand. Arrowpoint also notes an emerging "AI hedge" thesis, with investors favouring field-based technical services that are less exposed to automation risk than office-based service models.[43]

2.3 Valuation Multiples and Pricing Drivers

- Valuation dispersion across UK FM is widening by sub-sector rather than compressing around a single market average. Crowe UK reports disclosed transaction multiples in testing, inspection, certification and compliance-related platforms generally ranging from 7.5x to 12.5x EBITDA, with the upper end reserved for premium assets with specialist technical expertise, recurring compliance-led revenues and defensible market positions.[57]
- Public market evidence also points to a premium for hard FM over soft FM. Arrowpoint states that hard FM public companies trade at a premium to soft FM peers because of longer-term contracts, more defensible margins and clearer regulatory drivers, which is directionally important for private market pricing and exit underwriting.[43]
- Premium pricing is most consistently supported by revenue quality. Buyers pay up for contracted maintenance income, statutory inspection cycles, high renewal visibility and low discretionary demand exposure because these features improve debt capacity, earnings predictability and downside protection.[43, 57]
- Regulatory intensity is a major multiple differentiator. Fire safety, compliance services, lifts, water hygiene, testing and certification attract stronger buyer competition because regulation makes

service deferral harder for customers and raises the value of accreditation, auditability and technical competence.[75] [48] [57]

- Scarce labour and self-delivery capability also drive premiums. Businesses with employed engineers, strong retention, training infrastructure and low subcontractor dependence are more valuable because they offer better service control, stronger margins and greater confidence in scaling a platform. This is especially relevant in technical services where workforce shortages are a binding constraint on growth.[43] [48]
- End-market exposure matters as much as service line. Assets serving critical environments such as healthcare, infrastructure, data centres, public housing and safety-critical commercial estates tend to command stronger valuations because demand is less cyclical and service failure carries higher customer risk. Arrowpoint specifically highlights data centre expansion, specialist cooling, electrical resilience and critical engineering maintenance as current growth themes shaping investor interest in 2026.[43]
- By contrast, commoditised soft FM generally prices lower unless it has niche positioning or unusually strong contract quality. Labour intensity, wage inflation, easier customer switching and thinner margins limit multiple expansion unless the target has sector-specialist credentials, technology-enabled delivery or a route to cross-selling into higher-value services.[42] [43] [75]
- For acquirers, the practical conclusion is that premium pricing in UK FM is being earned through technical scarcity, compliance criticality and earnings visibility, not simply scale. The most attractive roll-up targets are therefore not always the largest assets, but the ones that improve a platform’s capability mix, engineer density, accreditation profile and exposure to non-discretionary spend.[42] [57] [43]

3

Fire and Security: The Leading Roll-Up Vertical

3

Fire and Security: The Leading Roll-Up Vertical

Fire and security remains the clearest specialist roll-up vertical within UK FM because it combines recurring maintenance income, regulatory compulsion, fragmented local supply and a deep pool of founder-owned targets. Deal activity accelerated again in 2025, with Grant Thornton recording 56 UK fire and security transactions versus 42 in 2024, while PE-backed buyers accounted for 70% of sector deals, confirming that sponsor capital continues to treat the category as a priority consolidation lane.[48] [120]

The investment case is stronger here than in broader FM because compliance obligations are becoming more explicit, more document-heavy and more enforceable, especially in residential and higher-risk buildings after Grenfell. That regulatory backdrop supports resilient inspection, maintenance and remedial demand across alarms, passive fire protection, emergency lighting, access control and integrated life-safety systems, while the market still contains a large subscale tail of owner-managed businesses that can be acquired below scaled-platform pricing.[99] [101] [48]

3.1

Market Structure and Firm Profile

The sector remains highly fragmented despite several years of elevated M&A. Grant Thornton states that many UK fire and security businesses are still under owner-management, particularly in the sub-£1 million EBITDA bracket, which is precisely the size band most attractive for bolt-on acquisition by PE-backed platforms.[48]

- Revenue model: Targets typically combine installation, planned preventative maintenance, monitoring, call-out and small remedial works, creating a blended revenue base with a meaningful recurring component and lower cyclicality than project-only contractors.[48] [98]
- Ownership profile: Many firms are founder-led regional operators built around engineer relationships, local reputation and long-standing commercial or residential customer accounts, but often lack succession planning, institutional reporting and scalable compliance systems. That combination makes them operationally valuable yet still acquirable at lower entry multiples than larger integrated technical-services platforms.[48]
- Capability mix: The most attractive firms usually sit in the middle of the market, with enough scale to support employed engineers and accreditations, but not enough scale to optimise procurement, route density, CRM, monitoring infrastructure or cross-sell across adjacent fire and security services.[48]
- Buyer appeal: Investors are paying for contract quality rather than pure revenue volume. Grant Thornton highlights that businesses with strong client renewal histories and long-standing customer relationships are especially attractive because they support predictable long-term growth and lender confidence.[48]
- Roll-up logic: Integration is relatively tangible. Acquirers can centralise back office, engineer scheduling, procurement, monitoring, compliance documentation and customer service while preserving local trading brands and field teams, which reduces customer disruption and improves post-deal retention.[48] [80]

3.2
Regulatory Influences

Post-Grenfell reform has materially increased the compliance intensity of the fire side of the market and widened the scope of assets requiring assessment, documentation and ongoing checks. The Fire Safety Act 2021 clarified that the Fire Safety Order applies to the structure, external walls, including cladding and balconies, and flat entrance doors in multi-occupied residential buildings, while the Fire Safety England Regulations 2022 introduced more prescriptive duties around information sharing and fire door checks.[99] [84] [85]

Title — Key UK fire safety regulatory drivers

DRIVER	CORE REQUIREMENT	M&A IMPLICATION
Fire Safety Act 2021	Clarifies FSO scope to include structure, external walls and flat entrance doors in multi-occupied residential buildings.	Expands assessment and remedial workload tied to residential fire compliance.
Fire Safety England Regulations 2022	Requires specific checks, information sharing and ongoing duties for responsible persons, especially in high-rise residential settings.	Increases recurring inspection, servicing and documentation demand.
Building Safety Act 2022 Section 156	Strengthens cooperation, record-keeping and enforcement obligations, with higher-risk building duties linked to accountable persons.	Favours scaled providers with auditable systems and regulatory competence.
BS 5839 series	Sets practice standards for design, installation, commissioning and maintenance of fire detection and alarm systems.	Supports recurring service demand and raises the value of technical accreditation.

Source: [99] [84] [101] [98]

- Grenfell legacy: The regulatory shift is not limited to cladding remediation. It has increased scrutiny on fire risk assessments, compartmentation, doors, alarms, resident communication and evidence trails, which broadens the addressable market for specialist contractors rather than only product manufacturers.[99] [104]
- Enforcement effect: Section 156 guidance states that fines for certain Fire Safety Order offences increased to Level 5, meaning unlimited fines, which raises the cost of non-compliance for duty holders and supports outsourcing to credible providers with stronger documentation and audit capability.[101]
- Higher-risk buildings: The Building Safety Act created ongoing duties for accountable persons in higher-risk buildings and requires cooperation with responsible persons where roles differ. This increases the value of contractors that can operate across inspection, maintenance, passive fire, records management and remedial coordination rather than only single-product installation.[94] [110]
- Standards-led maintenance: The BS 5839 series covers design, installation, commissioning and maintenance of fire detection and alarm systems, reinforcing the recurring service element of the market and supporting premium valuations for firms with strong maintenance books rather than one-off project exposure.[98]

3.3

Active Platforms and Opportunities

The platform landscape is active but still far from consolidated. New Path Fire & Security is one of the clearest examples of a UK buy-and-build platform in the space, stating that it seeks profitable fire and security installation and maintenance businesses across the UK; the company says it has completed 13 acquisitions since its July 2020 founding, while Moore Barlow reports advising on 13 transactions totalling £47 million since 2019, illustrating both pace and repeatability of the model.[81] [83] [88]

- Active consolidators: Grant Thornton notes that several active consolidators helped drive 70% of 2025 fire and security deals through PE-backed businesses, indicating that sponsor-backed platforms, rather than pure strategics alone, are setting valuation tension in the market.[48]
- New Path case study: New Path's acquisition strategy has focused on service-led regional businesses, primarily in Southern England, with Duke Capital describing exposure mainly to the SME market and some high-end residential work in London. That profile is instructive because it shows how density, recurring service and local brand retention can be combined within a scalable platform architecture.[81] [80]
- Consolidation runway: Despite elevated deal flow, the market still contains a large tail of subscale owner-managed firms, especially below £1 million EBITDA, so the opportunity is not exhausted. The remaining white space is greatest in regional independents with strong maintenance books, passive fire capability, social housing exposure or mixed fire and electronic security offerings that can be cross-sold into broader compliance contracts.[48]
- White-space segments: The most attractive gaps are not necessarily in large urban alarm installers already in auction processes, but in secondary geographies and specialist niches such as passive fire, fire doors, emergency lighting, integrated compliance servicing and landlord or housing-association accounts where regulation is intensifying but local supply remains fragmented.[99] [84] [48]
- Investment conclusion: Fire and security remains the leading UK FM roll-up vertical because the core ingredients for sustained buy-and-build are still present at the same time: fragmented supply, recurring compliance revenue, regulatory tailwinds, lender support and proven platform precedents. The main change versus earlier years is not reduced opportunity, but increased competition for the best assets, which makes origination discipline and post-deal integration capability more important than simple access to capital.[48] [120]

4

Testing, Inspection and Certification (TIC)

4

Testing, Inspection and Certification (TIC)

The UK TIC market remains one of the most active and structurally attractive consolidation arenas within business services, combining fragmented supply, non-discretionary demand and repeat acquisition activity from sponsor-backed platforms. Crowe UK recorded more than 280 UK TIC transactions in 2025, up from 270 in 2024, with 66 transactions in Q1 2026 versus 56 in Q1 2025, indicating that momentum has continued rather than normalised after the 2025 peak.[57]

For FM-focused investors, TIC is especially relevant because many of the most attractive sub-verticals sit adjacent to statutory building compliance, environmental testing, fire safety, infrastructure assurance and specialist certification. The market is already populated by scaled consolidators, but the breadth of niche service lines, local accreditation bases and founder-owned technical businesses means the runway for bolt-on acquisitions remains substantial.[57] [145]

4.1

Sector Fragmentation and Demand

The TIC sector is fragmented both horizontally and vertically. Horizontally, demand is spread across construction materials testing, environmental and food laboratories, fire and safety compliance, cable and product certification, geotechnical services, surveying, ecology, occupational safety and other specialist assurance niches. Vertically, each niche is itself populated by small founder-led operators with narrow technical scopes, local customer relationships and accreditation-specific delivery models, which is why consolidation can proceed rapidly without exhausting the target universe.[57] [145]

- Demand profile: TIC revenues are supported by regulation, technical standards and mandatory testing cycles rather than discretionary customer spend. Crowe identifies intensifying compliance requirements across construction, pharmaceuticals, healthcare, food and environmental services as a core driver of sustained M&A interest in 2026.[135]
- Revenue quality: Buyers are attracted to recurring inspection, audit, sampling, monitoring and recertification income, particularly where service interruption would create operational or legal risk for the customer. Crowe also highlights high switching disruption as a defining sector attribute, which supports retention and underwriting confidence.[135]
- Fragmentation logic: Even where large international groups exist, the operating reality remains local and specialist because many services depend on site presence, laboratory footprint, engineer density, sector-specific approvals or customer trust in named technical teams. Oakley notes that globally the top 10 TICC groups account for only 12% of the market, reinforcing how much room remains below the top tier for regional and niche consolidation.[145]
- FM adjacency: The most relevant UK TIC sub-sectors for FM roll-up strategies are those tied to built environment compliance, including construction testing, fire and safety assurance, environmental monitoring, infrastructure inspection and certification services. These categories share the same attractive features seen elsewhere in technical FM, namely recurring compliance demand, auditability and low tolerance for service failure.[57]
- Valuation backdrop: TIC continues to command premium pricing relative to more commoditised FM services. Crowe states that disclosed UK TIC transaction multiples generally fall in a 7.5x to 12.5x EBITDA range, with the upper end reserved for specialist assets with recurring revenues

and defensible market positions, while Houlihan Lokey reported a 2016 to 2025 EV/EBITDA mean of 14.3x across its broader TICC transaction dataset, underscoring sustained buyer appetite for quality assets.[57 146]

4.2

Key Platforms and Transactions

The UK TIC market is now shaped by repeat acquirers rather than isolated strategic deals. Sponsor-backed platforms have demonstrated that fragmented technical niches can be assembled into scaled groups while preserving local brands, specialist management teams and accreditation-led delivery models.[57 137]

Title — Selected UK TIC platform indicators

PLATFORM	BACKER	REPORTED ACQUISITION PACE	STRATEGIC RELEVANCE
Phenna Group	Oakley Capital	25 acquisitions in 2025	Broad TICC consolidator across infrastructure, built environment and compliance services.
Celnor Group	Inflexion	More than 40 acquisitions since 2023	Rapid UK-led TICC platform spanning environmental, surveying, ecology and specialist inspections.
Wilmington plc	Public	Active acquirer in health and safety training	Illustrates listed buyer appetite for compliance-adjacent assets.
Amtivo Group	Private platform	Acquired Advanced Certification Ltd and UK Food Certification Ltd	Demonstrates continued demand for certification-led bolt-ons.

Source: [57 135]

- Phenna Group: Crowe reports that Phenna, backed by Oakley Capital, completed 25 acquisitions in 2025 alone, making it one of the most active consolidators in the UK TIC market. Oakley's investment announcement describes Phenna as a TICC platform formed in 2018 and, at the time of Oakley's 2022 investment, comprising 31 independent businesses across infrastructure, built environment, niche industrial, pharmaceutical and certification and compliance divisions in 12 countries.[57 145]
- Phenna transaction pattern: Recent disclosed examples include the acquisition of Construction Testing Services in June 2025 and Testall later in 2025, with Phenna stating that Testall represented its 21st deal of 2025. The pattern is notable because it shows continued appetite for infrastructure and built environment testing assets rather than a pivot away from UK technical services.[138 139]
- Celnor Group: Crowe states that Celnor, backed by Inflexion, has acquired more than 40 businesses since 2023 across environmental consultancy, surveying, ecology, geotechnical services and specialist inspections. Inflexion's own portfolio materials state that Celnor was established in 2023 as a TICC platform and completed 16 acquisitions in its first 12 months after launch, while a later Inflexion insight says the group had completed 49 acquisitions as of July 2026.[57 137 136]

- Celnor strategic role: Celnor is particularly relevant for UK FM investors because its acquisition mix clusters around built environment, safety and compliance, risk management and analytical sciences. That mix demonstrates how TIC platforms can be built around adjacent technical services rather than a single narrow testing niche, increasing cross-sell potential into broader compliance workflows.[137]
- Other notable transactions: Crowe cites recent TIC deals involving Wilmington's acquisitions of Phoenix Health and Safety and Astutis, Amtivo's acquisition of Advanced Certification and UK Food Certification, Normec's acquisition of i2 Analytical, and Kiwa's acquisition of BASEC Group and IFC Group. These transactions show that buyer demand extends beyond PE-backed mega-consolidators into listed, strategic and specialist certification buyers.[135]
- Market implication: The presence of multiple active consolidators raises competitive tension for premium assets, but it also validates exit routes. For a new platform, the existence of Phenna, Celnor, Normec, Kiwa, SGS and other repeat buyers reduces terminal value uncertainty because there is already a functioning market for scaled specialist TIC assets.[57] [141]

4.3

Consolidation Runway

Despite the pace of recent dealmaking, the TIC market still offers meaningful whitespace because consolidation has been broad rather than complete. The addressable universe remains large across local laboratories, specialist inspection firms, certification boutiques, environmental consultancies and built environment compliance providers, many of which remain founder-owned and subscale relative to the leading platforms.[57] [136]

- Remaining whitespace: The best opportunities are typically not in already crowded mainstream categories alone, but in adjacent micro-verticals where accreditation, data integrity, sector expertise or local density matter more than headline scale. Oaklins notes that consolidation is expanding into new verticals and geographies, suggesting that the market is still opening up rather than maturing into a closed set of obvious targets.[141]
- Ideal target profile: The most attractive acquisitions are businesses with recurring inspection or certification cycles, strong accreditation status, low customer concentration, high technical staff retention and clear evidence of non-discretionary demand. Targets should also have clean quality systems and auditable data processes, because in TIC the value of the revenue base depends heavily on trust in the underlying evidence chain and compliance outputs.[135] [57]
- Integration conditions: Successful TIC acquisitions require more than back-office consolidation. Buyers need a disciplined model for preserving accreditation, retaining technical leadership, harmonising quality management systems and integrating customer data without disrupting audit trails or laboratory workflows. This is why the most successful platforms tend to operate a federated model rather than forcing immediate full operational standardisation.[136] [145]
- FM investor angle: For UK FM roll-up strategies, the most actionable TIC bolt-ons are likely to be built environment and compliance assets that can deepen statutory service capability rather than purely diversify revenue. Examples include construction materials testing, environmental and water-related testing, fire and safety certification, cable and product certification, and specialist inspection services that can be sold into existing estates, infrastructure and regulated property client bases.[57] [135]
- Competitive reality: The main constraint is not lack of targets but rising competition for the best ones. With more than 280 UK TIC transactions in 2025 and Q1 2026 running ahead of the prior

year, buyers need sharper origination, faster diligence on accreditation and quality systems, and a clearer post-deal operating thesis to avoid overpaying for assets that look defensive but are operationally fragile.[57]

- Investment conclusion: TIC still offers one of the deepest consolidation runways in UK technical services, but success now depends on sub-sector selection and integration discipline rather than simply aggregating revenue. The winning acquirer profile is one that can combine compliance credibility, technical talent retention, data integrity and selective adjacency expansion into a coherent platform strategy.[57] [137]

5

Lifts and Vertical Transport

5

Lifts and Vertical Transport

The UK lifts and vertical transport segment presents a distinctive roll-up profile within hard FM. New equipment supply and major installations remain concentrated around global OEMs such as Otis, KONE, Schindler, TK Elevator and Stannah, while the maintenance, repair and modernisation layer below that top tier remains materially more fragmented across regional independents and specialist local operators.[176, 158, 161]

For investors, the attraction is not installation exposure alone but the combination of recurring service income, high asset criticality, route density economics and a constrained labour pool. Those features create a market where customer relationships are sticky, independents can compete effectively in service and modernisation, and scaled platforms can create value through branch density, engineer utilisation, procurement leverage and selective acquisition of local maintenance books.[159, 168, 176]

5.1

Market Dynamics and Structure

The structural split in this market is unusually clear. OEMs retain the strongest position in new installations, warranty-period servicing and some proprietary systems, but the broader aftermarket for routine maintenance, reactive repair, refurbishment and modernisation is contestable and served by a wide field of independents, as reflected in UK procurement frameworks that routinely separate service, maintenance, refurbishment and installation requirements across regional lots.[159, 161, 163]

That dual structure matters for M&A. Installation is more concentrated, more project-led and more exposed to OEM specification, whereas service and modernisation are more local, engineer-led and relationship-driven, which creates a larger universe of subscale acquisition targets with defensible customer books.[158, 160]

Public and social housing procurement provides a useful read-through on market shape. Recent frameworks from Staffordshire County Council, NEUPC and Efficiency North all contemplate multi-supplier, regionally structured provision for lift servicing, maintenance, refurbishment and installation, which is consistent with a market where local delivery capability and response times remain critical despite the presence of large national brands.[158, 161, 164]

Title — UK lift market structure indicators

INDICATOR	CURRENT EVIDENCE	INVESTMENT READ THROUGH
Installation market	Dominated by major OEM and national brands named in the UK apprenticeship standard employer group.	New equipment is concentrated and harder to penetrate through roll-up alone.
Aftermarket scope	Public frameworks commonly procure maintenance, repairs, refurbishment and installation separately or in lots.	Service and modernisation remain accessible to independents and regional specialists.
Contract geography	Frameworks are frequently regional or multi-lot rather than single national awards.	Local engineer density and branch footprint are core competitive variables.

INDICATOR	CURRENT EVIDENCE	INVESTMENT READ THROUGH
Customer priority	Tenders emphasise servicing, emergency response, defect rectification and reliability.	Recurring maintenance books and response capability matter more than one-off project revenue.

Source: [176 158 161 164]

A further structural feature is the importance of modernisation as a bridge between service and capex. The approved UK apprenticeship standard explicitly defines the occupation as covering installation or maintenance, repair and modernisation of lifts and escalators, indicating that the technical workforce and customer need set span the full asset lifecycle rather than only routine servicing [176] For acquirers, that supports a thesis around owning the maintenance relationship first and converting it over time into higher-value repair and upgrade work.

5.2

Value Drivers and Agreements

The principal value driver in lifts is the maintenance contract rather than the initial installation margin. Lift assets are safety-critical, visible to end users and operationally disruptive when unavailable, so customers place a premium on continuity, response times and engineer familiarity, which makes service agreements unusually sticky relative to more commoditised FM lines.[158 166]

Contract structure reinforces that stickiness. A recent UK independent market comparison states that manufacturer contracts are often written on 3 to 5-year auto-renewing terms, while independents more commonly use 12-month rolling arrangements, and notes that buildings are not required to use the original manufacturer for maintenance once warranty and proprietary constraints are addressed [159] While that source is commercial and should be treated directionally rather than as a market census, it is consistent with procurement evidence showing recurring service-only and planned maintenance contracts as the core buying mechanism in the UK market.[158 160]

For investors, the underwriting implication is that a maintenance book has value beyond its annual gross margin. It creates first-call rights on breakdowns, remedials and modernisation opportunities, improves route density for engineers and embeds the provider in the customer's compliance and uptime workflow, all of which can support stronger retention and better visibility of future revenue.[158 161]

Workforce scarcity amplifies the value of those contracts. The UK lift and escalator engineering apprenticeship remains a specialist Level 3 pathway with a typical 36-month duration and only four listed training providers on the apprenticeship course finder at the time of retrieval, which indicates a relatively narrow formal training pipeline [176 177] Industry commentary in January 2026 also highlighted competency gaps in FM lift safety and noted that the wider construction and engineering sectors are expected to need an additional 250,000 workers by 2028, with lift industry participants explicitly warning that specialist engineer shortages are affecting the sector.[168]

In practice, this means engineer retention is itself a value driver. A target with employed, route-based engineers, low subcontractor dependence and a credible apprenticeship or training pathway is likely to be worth more than a similar revenue base that relies heavily on bought-in labour, because service quality, response performance and contract renewal all depend on scarce technical capacity.[176] [168]

5.3 Strategy Considerations

The most credible roll-up strategy in UK lifts is geographic densification rather than immediate national scale. Because emergency response, planned maintenance visits and minor repairs are route-based, branch proximity and engineer density directly affect service levels and margin, making local cluster acquisitions more valuable than dispersed revenue additions.[166] [161]

A practical playbook is to acquire regional maintenance books first, then layer in repair and modernisation capability. That sequencing improves engineer utilisation, creates procurement leverage on parts and call-outs, and gives the platform a larger installed base from which to originate higher-margin refurbishment work as assets age or reliability deteriorates.[158] [176]

Sector focus also matters. Social housing, local authority, education, healthcare and other public or quasi-public estates are attractive because they operate large installed bases, procure through recurring maintenance frameworks and often require dependable response across defined geographies [158] [161] [164] The A2Dominion contractor reset in March 2025 is a useful example of a customer explicitly narrowing contractor geographies to improve response times and reliability, which underlines the premium placed on local service execution over nominal national coverage.[166]

Target selection should therefore prioritise four attributes.

- Contract quality: High share of recurring maintenance revenue, low single-site concentration and evidence of strong renewal history.
- Workforce depth: Employed engineers, supervisor bench strength and access to apprenticeships or structured training.
- Technical breadth: Capability in modernisation, controller upgrades, door systems and major repairs, not only routine servicing.
- Geographic fit: Dense overlap with existing routes, especially in urban and social housing clusters where call-out economics are strongest.

There are also important execution constraints. OEMs remain formidable competitors in warranty periods and on proprietary systems, so a new platform should avoid overpaying for books that are heavily tied to recently installed OEM equipment or contracts vulnerable to manufacturer lock-in [159] Similarly, labour scarcity means integration plans must protect engineer retention and local customer relationships, because aggressive centralisation can destroy the very service responsiveness that underpins contract value.[168] [177]

Overall, lifts remains an attractive but operationally exacting roll-up vertical. The best strategy is not broad aggregation of any available contractor, but disciplined assembly of regional service density, scarce engineering talent and modernisation capability in end markets where uptime, compliance and resident experience make switching costly and recurring maintenance spend resilient.[158] [166] [176]

6

Mechanical, Electrical and Building Maintenance

6

Mechanical, Electrical and Building Maintenance

Mechanical, electrical and building maintenance has become one of the most investable lanes within UK hard FM because buyer demand is converging around technically led, recurring and compliance-sensitive revenue. In 2025, building maintenance and M&E transactions rose 24% year on year and represented 50% of all FM deals, up from 31% in 2021, confirming that capital is rotating toward engineering-heavy service lines with clearer retention, repricing and cross-sell characteristics than broader generalist FM.[75, 42]

The strategic appeal is reinforced by a fragmented supply base of regional owner-managed contractors, many of which have credible local customer books but limited systems, weak succession planning and uneven compliance infrastructure. At the same time, labour inflation remains a material pressure point: the National Living Wage for workers aged 21 and over increased to £12.71 from 1 April 2026, and the Low Pay Commission's long-run series shows a roughly 43% rise since 2021, intensifying margin pressure across labour-heavy maintenance models and increasing seller motivation among subscale operators.[198, 199]

6.1

Sector Growth and Dynamics

Mechanical, electrical and building maintenance has moved from a supporting hard FM category into a primary consolidation theme. BDO reports that building maintenance and M&E deals increased 24% in 2025 and now account for half of all FM transactions, while Moore Kingston Smith separately notes that hard FM targets represented 58% of all target verticals identified in 2025, up from 49% in 2021.[75, 42]

The growth drivers are structural rather than cyclical.

- Ageing building stock: Older commercial, public and residential estates require more planned maintenance, lifecycle replacement and remedial works, particularly across HVAC, electrical systems, controls and fabric.[42, 200]
- Compliance intensity: Statutory maintenance, documented PPM regimes and auditable asset registers increasingly favour providers that can evidence service delivery rather than simply supply labour.[200, 221]
- Outsourcing depth: Public and private buyers continue to procure hard FM, statutory compliance and CAFM-enabled service packages through formal frameworks, supporting recurring outsourced demand across the UK.[217, 210]
- Technical-service premium: Buyers are prioritising categories with recurring maintenance books, engineer density and lower discretionary exposure, which has pulled M&E and building maintenance into the same premium orbit as fire safety, lifts and water hygiene.[75, 203]

The main barriers to expansion are operational rather than demand-led.

- Labour cost inflation: The National Living Wage rose to £12.71 from 1 April 2026, a 4.1% annual increase, and the cumulative increase since 2021 is approximately 43%, compressing gross margins where contracts are slow to reprice or labour is heavily subcontracted.[198, 209]
- Skills scarcity: Technical maintenance growth is constrained by the availability of qualified engineers and supervisors, especially where delivery requires employed labour rather than

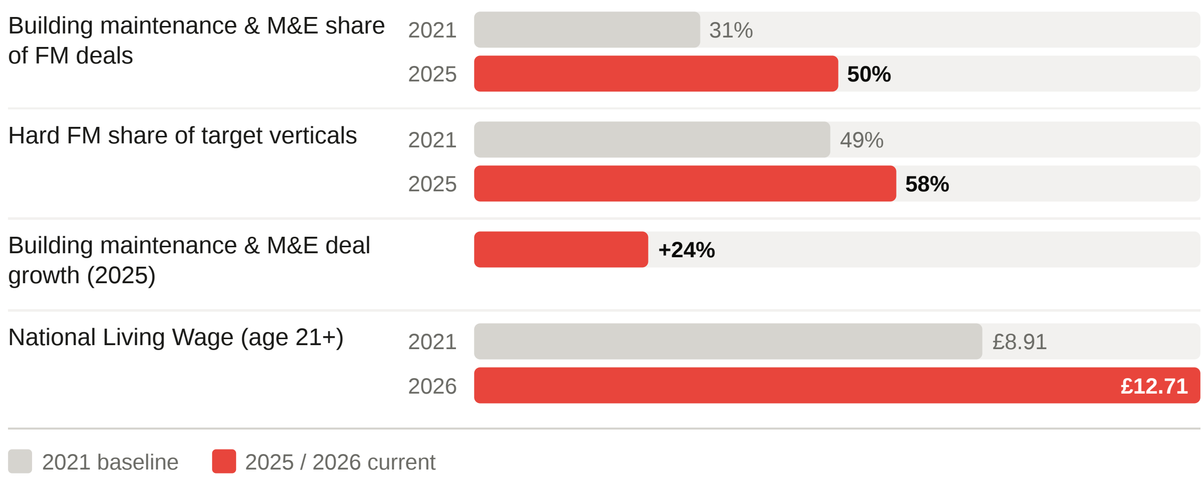
brokered subcontract capacity.[203, 228]

- Compliance complexity: Accreditation and scheme requirements create defensible barriers, but they also raise the cost of scaling for underinvested SMEs.[222, 232]
- Contract discipline: Buyers increasingly expect asset-level data, forward maintenance registers and digital reporting, which exposes weaker operators that still run on spreadsheets and founder memory.[200, 229]

Title — UK hard FM maintenance momentum indicators

INDICATOR	2021	2025 OR 2026	INVESTMENT READ THROUGH
Building maintenance and M&E share of FM deals	31%	50% in 2025	Hard FM has become a core M&A lane rather than a secondary niche.
Building maintenance and M&E deal growth	N/A	+24% in 2025	Buyer appetite is accelerating in technical maintenance categories.
Hard FM share of target verticals	49%	58% in 2025	Origination is increasingly concentrated in engineering-led services.
National Living Wage, age 21+	£8.91	£12.71 from 1 April 2026	Wage inflation is a major catalyst for consolidation and repricing.

Source: [75, 42, 198]



6.2

SME Operational Profiles

The typical UK M&E or building maintenance target is a regional, founder-led contractor with a concentrated operating footprint, a mixed book of planned and reactive work, and customer relationships built around responsiveness rather than institutional sales capability. These businesses often serve commercial property, education, healthcare, social housing or local public estates, with service lines spanning HVAC, electrical maintenance, fabric works, small projects and statutory testing.[217, 233]

Operationally, many SMEs are stronger than their systems suggest.

- Revenue mix: Better-quality targets usually combine contracted PPM, statutory compliance and reactive call-out income, with small works providing upside but not dominating the earnings base.[200, 226]
- Delivery model: Regional density, engineer familiarity and local account management remain central, especially where response times and site knowledge matter more than national branding.[217, 233]
- Systems maturity: Many firms still operate with limited CAFM penetration, fragmented asset data and manual compliance records, which constrains scalability and weakens diligence readiness.[229, 218]
- Accreditation dependence: Commercial credibility often rests on a narrow set of scheme memberships and competent-person credentials, making compliance continuity a key diligence item.[222, 232, 230]

Ageing ownership is a meaningful origination tailwind. While there is limited UK-wide official data specific to building maintenance SMEs, broader UK SME succession evidence points to a large cohort of older owner-managers approaching retirement without robust exit planning. A 2026 UK succession dataset covering 74,711 verified businesses found that 52.6% had an oldest director aged 60 or over, and the business services segment showed an average oldest-director age of 60.0 years, which is directionally relevant for technical maintenance contractors that sit within the wider business-services universe.[208]

For investors, the practical implication is that many attractive targets are not distressed businesses but under-professionalised ones. Founders often retain customer trust, pricing authority and engineer loyalty, yet lack a second-line management bench, formal succession plan, integrated finance and operations reporting, or the appetite to fund the next phase of digital and compliance investment.[194, 208]

Margin pressure is accelerating exit decisions.

- Wage inflation: The April 2026 NLW increase compounds several years of labour cost growth, which is especially painful for firms with legacy contracts or weak variation mechanisms.[198, 209]
- Founder bottlenecks: Sales, estimating, technical sign-off and customer escalation often sit with one or two individuals, creating key-person risk and limiting branch replication.[208]
- Working-capital strain: Reactive-heavy books, subcontractor usage and delayed customer approvals can create cash conversion volatility even where EBITDA appears acceptable. This is an inference based on the operating model described in public procurement and FM software specifications rather than a directly reported sector statistic.[229, 228]
- Compliance burden: Maintaining certifications, training records, asset histories and audit trails is increasingly difficult for firms without dedicated back-office infrastructure.[222, 200]

6.3

Platform-Building and Expansion

The most effective platform-building strategy in M&E and building maintenance is not broad aggregation of undifferentiated revenue. It is the assembly of regional engineer density, auditable compliance capability and digital operating infrastructure around a recurring maintenance core.[75, 203]

Technology is a genuine value-creation lever when it improves execution rather than simply adding software cost.

- CAFM and field service management: Government FM standards explicitly position CAFM as a tool to track, plan, manage and report facilities information, while current public tenders require systems that support work orders, PPM, asset registers, helpdesk workflows and cost control.[200, 229]
- Asset intelligence: Forward maintenance registers, verified asset data and lifecycle planning improve pricing discipline and reduce margin leakage on inherited contracts.[200, 217]
- Mobile workflow: Hard FM software providers emphasise mobile field service, scheduling and compliance tracking because these directly affect first-time fix rates, engineer utilisation and auditability.[228, 202]
- Predictive maintenance potential: Academic work on digital twins and smart maintenance suggests that condition monitoring, structured building data and predictive workflows can improve maintenance planning, although adoption in UK SME hard FM remains uneven and should be treated as an emerging lever rather than a current market norm.[193, 195, 191]

Compliance capability is the second major platform lever because it converts local contractors into trusted technical partners.

- Accreditation stack: NICEIC, Gas Safe, BESA-aligned mechanical competence and REFCOM certification are not just hygiene factors. They determine addressable work scope, procurement eligibility and customer confidence.[233, 222, 232]
- Standardised maintenance regimes: SFG20-backed maintenance schedules and documented statutory compliance processes support consistent delivery across acquired branches.[221, 200]
- Procurement access: Public frameworks increasingly separate hard FM, statutory compliance, CAFM and mobilisation requirements, favouring platforms that can evidence process maturity at bid stage.[217, 220]

Geographic expansion remains the most reliable route to synergy capture.

- Cluster strategy: Acquiring adjacent regional operators improves route density, reduces travel time and supports better engineer scheduling than dispersed national roll-up activity.[217, 228]
- Branch-led scaling: Local depots and retained management teams matter because hard FM service quality is still delivered physically, not centrally. This is an inference from procurement structures and service specifications that emphasise mobilisation, response and local delivery.[217, 219]
- Cross-sell logic: Once a platform controls the maintenance relationship, it can add adjacent compliance, small projects, energy optimisation and lifecycle replacement work without relying solely on new-logo sales.[203, 75]

For M&A execution, the highest-quality targets are likely to be regional operators with £0.5 million to £3 million EBITDA, strong PPM content, low customer concentration, employed technical labour and transferable accreditations. The winning platform model is therefore a federated hard FM network with centralised systems, compliance governance and procurement, but locally preserved engineer relationships and customer accountability.[75, 200, 194]

7

Specialist Waste and Environmental Services

7

Specialist Waste and Environmental Services

Specialist waste and environmental services is emerging as a more credible UK FM roll up lane because it combines fragmented supply, compliance criticality and still-moderate sponsor crowding. Unlike fire, security and mainstream TIC, the operating moat here is created less by customer procurement scale and more by the ability to navigate waste classification, permitting, chain of custody, transport registration, treatment routing and auditability across hazardous, clinical and environmental streams.[42] [267] [264]

That complexity is beginning to translate into higher transaction activity. Moore Kingston Smith recorded 27 UK waste management deals in 2025 versus 13 in 2024, with 24 of the 27 2025 deals involving pureplay operators, indicating that buyers are increasingly targeting specialist capability rather than broad environmental generalists [42] For investors, the opportunity is attractive precisely because the market is active enough to validate consolidation, but not yet as crowded or as fully intermediated as the most obvious compliance-led FM verticals.[42] [250]

7.1

Market Dynamics and Regulatory Environment

Regulation is the core barrier to entry in specialist waste, and it operates at multiple points in the service chain rather than at a single licence gate. In England, businesses handling hazardous waste must ensure it causes no harm or damage, classify waste correctly under technical guidance WM3, comply with duty-of-care requirements, and use appropriately registered carriers, brokers or dealers, while healthcare waste facilities are expected to operate in line with HTM 07-01 and Environment Agency permitting expectations.[267] [269] [266] [261] [262] [264]

This creates a natural consolidation moat because many smaller operators can collect or broker waste, but fewer can offer a fully auditable, multi-stream solution across segregation advice, compliant packaging, transport, treatment routing, reporting and customer assurance. The public register requirement for carriers, brokers and dealers, combined with waste description and transfer obligations under the duty of care, means scale platforms with stronger compliance systems can win trust disproportionately to their revenue size.[261] [266] [263]

Clinical waste is especially defensible because the service requirement extends beyond collection into segregation discipline, infection-risk handling, documentation and treatment-pathway control. NHS England states that the 2023 version of HTM 07-01 replaces the prior edition and sets out safe and sustainable management of healthcare waste, while the Environment Agency’s healthcare waste guidance explicitly points operators back to HTM 07-01 for segregation and handling practice, reinforcing the value of specialist providers with healthcare-specific operating procedures.[264] [262]

For FM investors, the key implication is that compliance infrastructure itself is an asset. A platform that can standardise waste coding, consignment documentation, subcontractor oversight, permit compliance, customer reporting and ESG data capture can consolidate smaller operators that have local customer relationships but weaker governance and limited ability to serve larger multisite accounts.[266] [270] [42]

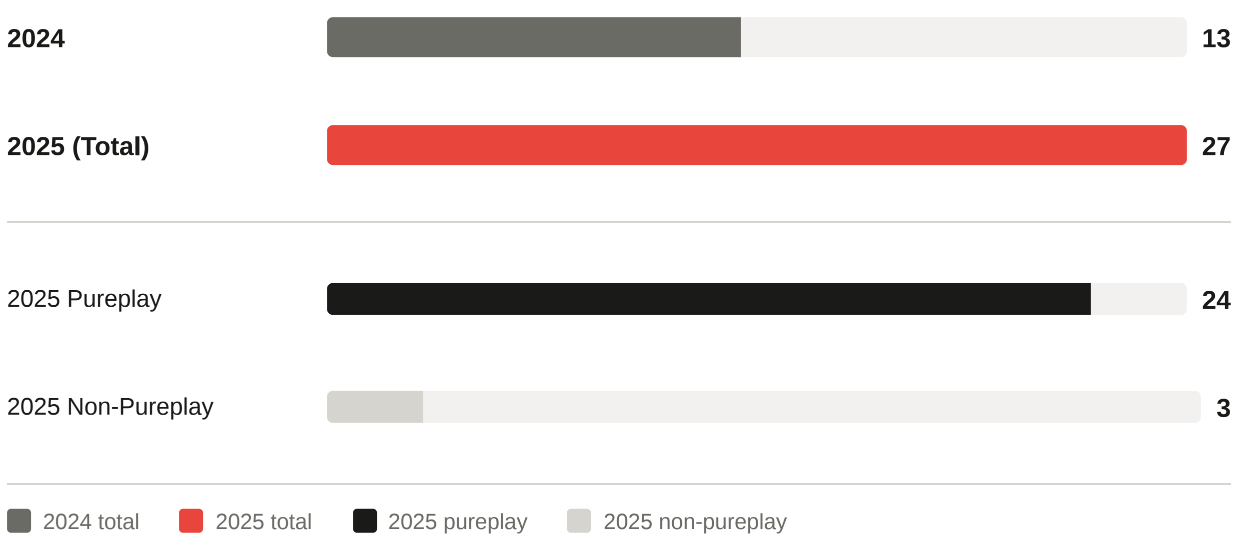
7.2
Deal Volume and Competition

Deal activity has accelerated from a low base, which is often the most attractive point in a consolidation cycle. Moore Kingston Smith recorded 13 UK waste management deals in 2024 and 27 in 2025, implying that annual volume more than doubled, and noted that 24 of the 27 2025 transactions involved pureplay operators, showing a clear buyer preference for specialist assets rather than diversified service bundles.[42]

Title — UK specialist waste deal momentum

YEAR	UK WASTE DEALS	READ THROUGH
2024	13	Early-stage consolidation activity.
2025	27	Deal volume more than doubled year on year.
2025 pureplay deals	24	Buyers strongly preferred specialist operators.
2025 non-pureplay deals	3	Broad generalists were a minority of transactions.

Source: [42]



The competitive environment still appears less crowded than in fire and security or TIC. Moore Kingston Smith explicitly characterises waste management as a vertical where deal activity rose sharply, but the broader FM M&A narrative in 2025 remained dominated by hard FM, fire systems, lifts and other technical services, which suggests specialist waste is gaining attention without yet attracting the same density of PE-backed platform competition.[42] [75] [48]

That relative whitespace matters for entry pricing and origination. Inference: because the most crowded UK FM verticals already have multiple repeat PE-backed consolidators and high auction intensity, a segment with only 27 deals in 2025 and a strong pureplay bias is more likely to offer bilateral or lightly intermediated opportunities, especially in regional hazardous, clinical and environmental niches.[42] [250]

There is also evidence that strategic and infrastructure capital are active in the wider waste market, particularly in larger recycling and resource-management assets, but that does not eliminate the SME roll-up opportunity. PKF Smith Cooper highlights growing interest from infrastructure investors in UK waste management and points to major transactions such as Macquarie's acquisition of Renewi, yet those larger-cap deals sit above the subscale specialist operators most relevant to FM-style buy-and-build strategies.[250]

7.3

Acquirer Strategies

The strongest differentiation strategy is to build around regulated end-market depth rather than generic waste volume. In clinical waste, that means targeting operators with healthcare, dental, veterinary, laboratory and care-sector exposure, where HTM 07-01 alignment, segregation support, traceability and service reliability matter more than lowest-cost haulage.[264 262]

In hazardous waste, acquirers should differentiate through technical competence in classification and routing rather than simply owning trucks. WM3 classification capability, documented duty-of-care processes, and confidence in handling difficult streams such as contaminated materials, chemicals or mixed hazardous outputs can support premium positioning with industrial, laboratory and infrastructure clients that need certainty more than commodity pricing.[269 267 266]

In environmental services, the best angle is often adjacency rather than standalone waste collection. Buyers can combine waste brokerage, hazardous response, drainage, spill response, contaminated-site support, water-related environmental services or compliance consulting into a broader environmental compliance proposition, which increases share of wallet and reduces exposure to pure collection-price competition.[251 249]

Three practical playbooks stand out.

- Clinical platform: Build density around healthcare waste collection, sharps, offensive waste and compliance-led customer support for NHS, private healthcare and care settings, using HTM 07-01 competence as the trust anchor.[264 246]
- Hazardous specialist: Acquire operators with strong waste acceptance knowledge, consignment discipline and treatment-network relationships, then centralise technical assessment and compliance governance to improve margin and reduce risk.[267 269]
- Environmental compliance platform: Use waste as the entry point, then add adjacent environmental services that are bought by the same estates, industrial and infrastructure customers, creating a broader compliance-led FM proposition.[251 249]

The most attractive targets are therefore not necessarily the largest regional waste contractors. They are the businesses with auditable compliance processes, defensible treatment relationships, recurring collection books, low customer concentration and credibility in regulated end markets, because those attributes create both downside protection and a clearer route to multiple expansion at platform scale.[42 266 250]

8

Energy Management and EPC Services

8

Energy Management and EPC Services

Energy management and EPC services are moving from a discretionary advisory niche toward a compliance-led technical-services category in UK commercial real estate. The immediate catalyst is the UK Government's June 2026 interim response on non-domestic MEES, which proposes that from 2031 all private rented buildings over 1,000 square metres in England and Wales must achieve EPC B where cost-effective, materially enlarging the remediation, assessment, controls optimisation and ongoing monitoring workload for landlords and occupiers alike.[304 305]

For investors, the more important point is structural rather than regulatory alone. Unlike fire, TIC or lifts, the UK market still lacks a clearly dominant scaled consolidator spanning EPC improvement advisory, building controls optimisation, metering data, project delivery and post-works performance management, creating a first-mover platform opportunity if assembled around recurring data-led services rather than one-off retrofit revenue.[322 329]

8.1

Demand Catalysts and Market Gaps

The demand case is now anchored by regulation with a defined time horizon. The Government's interim response, published on 18 June 2026, proposes that from 2031 private rented non-domestic buildings above 1,000 sq m in England and Wales must reach EPC B where cost-effective, replacing earlier market assumptions around a universal 2030 deadline and clarifying that the near-term compliance burden is concentrated in larger rented assets.[304 308]

The scale of the remediation pool appears significant. JLL reported in July 2026 that 69% of industrial space affected by the new MEES policy was below EPC B as of May 2026, implying a large addressable market not only for capital upgrades but also for surveys, EPC modelling, controls tuning, HVAC optimisation, lighting upgrades, metering and exemption support.[305]

Title — EPC B 2031 demand implications

DRIVER	CURRENT EVIDENCE	INVESTMENT IMPLICATION
Regulatory trigger	From 2031, private rented buildings over 1,000 sq m in England and Wales are proposed to require EPC B where cost-effective.	Creates a dated compliance pipeline for larger commercial assets.
Affected stock	69% of impacted UK industrial space was below EPC B in May 2026.	Indicates a large remediation and optimisation market.
Controls market momentum	UK building controls and BEMS revenues reached £234.8m at the start of 2026.	Confirms active spend on optimisation infrastructure, not just advisory work.
Data reporting pressure	SECR continues to require qualifying businesses to report energy and carbon data.	Supports recurring monitoring, analytics and reporting services.

Source: [304 305 322 321]

The market gap is that delivery remains fragmented across EPC assessors, M&E consultants, controls specialists, energy bureaux, software vendors and retrofit contractors. That fragmentation creates execution risk for landlords, but it also creates roll-up potential for an acquirer that can package diagnosis, funding support, works delivery and measured post-completion performance into one operating model.[329] [310]

A second gap is the absence of a dominant national platform with both technical and commercial credibility. The current market has strong specialists in controls, surveying, engineering and ESG advisory, but the available sources do not indicate a single scaled UK consolidator that clearly owns the landlord workflow from EPC gap analysis through implementation and ongoing optimisation; that absence is an inference from market structure and source review rather than an explicit published ranking.[322] [329]

For M&A, this matters because the value pool is likely to migrate from one-off certificate production toward repeat services. The most attractive targets are therefore not pure EPC assessors alone, but firms with recurring monitoring contracts, controls optimisation capability, sub-metering data, landlord relationships and the ability to convert compliance conversations into funded capex and long-term service revenue.[321] [322]

8.2

Convergence with Broader Trends

Energy management is converging with ESG reporting, operational decarbonisation and smart-building digitisation. The UK's SECR regime continues to require qualifying companies to disclose energy use and carbon emissions in annual reporting, which increases the value of auditable building-level data and creates demand for service providers that can turn raw consumption data into compliance outputs and investment plans.[321] [323]

In commercial real estate, the market is also shifting from design-stage credentials toward operational performance. JLL reported in July 2026 that demand is moving toward NABERS UK and that institutional owners are building sustainability data stacks using smart meters, sensors and software, while also noting that assets with EPC B or better show occupancy rates 3 to 6 percentage points higher and shorter void periods in its property management data.[329]

This is where smart-building technology becomes commercially relevant rather than merely thematic. The BCIA reported that UK building controls and BEMS market revenues rose to £234.8 million at the start of 2026, with service revenue growth linked to long-term building performance and optimisation, indicating that owners are already spending on the digital layer needed to sustain EPC improvements and reduce operating costs.[322]

Academic evidence supports the direction of travel even if it does not provide UK market sizing. Recent arXiv work highlights that IoT-enabled BEMS, predictive control, digital twins and time-series analytics are increasingly practical tools for improving building efficiency, though interoperability and scaling remain major implementation constraints.[295] [296] [289]

For investors, the convergence thesis is straightforward.

- ESG pull: Energy data is now tied to reporting, financing and asset-level decarbonisation narratives.[321] [325]
- Smart-tech pull: Controls, metering and analytics convert compliance projects into recurring optimisation revenue.[322] [297]

- Energy-transition pull: Electrification, on-site renewables, storage and demand-side response increase system complexity and favour integrated operators.[336] [292]

The practical implication is that energy management is no longer a narrow utility-cost service. It is becoming a cross-functional operating layer linking compliance, asset value protection, tenant demand, financing and building automation, which is why the category is strategically more attractive than its current fragmentation suggests.[329] [328]

8.3

Strategic Platform Formation

An effective roll-up platform in this space should be built around recurring data and service contracts, not around episodic retrofit projects alone. The core architecture should combine EPC and building-survey capability, controls and BEMS optimisation, metering and bureau services, project management for remedial works, and post-installation measurement so that the platform owns both the diagnosis and the proof of outcome.[322] [329]

The most credible platform model is therefore a federated technical-services group with a strong central data spine. Local engineering and surveying teams should remain close to customers and assets, while the centre provides energy analytics, reporting workflows, procurement, software integration, funding support and compliance governance. This mirrors the operating logic already seen in other technical FM roll-ups, but with greater emphasis on data interoperability and measured performance.[321] [295]

Priority acquisition clusters should include the following.

- EPC and compliance advisory: Firms with strong landlord and managing-agent relationships and repeat instruction flow.[304]
- Controls and BEMS specialists: Businesses with installed-base access, optimisation contracts and manufacturer-agnostic capability.[322]
- Metering and data services: Providers that can aggregate half-hourly, smart-meter and sub-meter data into auditable reporting outputs.[332] [333]
- Delivery capability: M&E and retrofit project managers able to execute lighting, HVAC, controls and fabric improvement programmes.[305] [336]

The key diligence lens is revenue quality rather than top-line growth. Investors should prioritise targets with recurring monitoring or optimisation income, low customer concentration, access to institutional landlords, auditable savings methodologies, and limited dependence on one-off grant cycles or commodity equipment resale.[321] [329]

Value creation should come from four levers.

- Workflow integration: Converting fragmented advisory, controls and reporting tasks into a single client journey.[329]
- Cross-sell: Using EPC compliance mandates to originate controls upgrades, metering, optimisation and ESG reporting mandates.[304] [325]
- Data moat: Building a proprietary operating dataset across asset types, consumption patterns and intervention outcomes.[297] [296]
- Multiple expansion: Repositioning small technical specialists as a scaled decarbonisation and compliance platform with recurring software-enabled service revenues. This is an inference

based on current buyer preference for technical, recurring and compliance-led services across UK FM.[322] [329]

In short, the winning platform is unlikely to be a pure assessor network or a pure installer. It should sit at the intersection of compliance, controls, data and delivery, giving investors exposure to the 2031 EPC B upgrade cycle while also creating a longer-duration operating model tied to ESG reporting, smart-building optimisation and asset-level decarbonisation.

9

Soft FM: Cleaning and Support Services

9

Soft FM: Cleaning and Support Services

Soft FM cleaning and support services remain one of the largest target pools in UK FM, but they are also among the most operationally unforgiving. The investment case is therefore bifurcated between commoditised volume cleaning, where margin is structurally thin and wage inflation is hard to recover, and sector-specialist niches where compliance, infection control, auditability or critical-environment know-how create better retention and pricing power.[42] [369]

Private equity activity confirms that cleaning remains relevant to UK FM roll-up strategies, but mainly as a bolt-on category rather than a standalone broad-market aggregation play. Moore Kingston Smith reports that PE completed 90 FM transactions in 2025 and that more than 80% of PE deals were bolt-ons, with single-service providers increasingly favoured; in cleaning, that points to specialist operators with defensible end-market exposure rather than undifferentiated labour supply.[42]

9.1

Sector-Specialist Niches

Sector-specialist cleaning niches are materially more attractive than commoditised office and general commercial cleaning because they embed service delivery inside a customer's compliance, uptime or infection-control workflow. In practice, that means the most investable targets are those serving healthcare, food-grade manufacturing, pharmaceuticals, laboratories, transport, education boarding environments and other critical settings where cleaning quality is audited and failure has operational consequences.[369] [379]

Healthcare is the clearest example of a defensible niche. NHS England's National Standards of Healthcare Cleanliness 2025 apply across NHS trust settings regardless of delivery model and require documented cleaning specifications, risk categorisation, audit processes and governance, which raises the value of contractors with trained supervisors, healthcare-specific procedures and evidence-based reporting.[369] [368]

Food-grade and pharmaceutical cleaning also support premium positioning because hygiene is directly linked to production continuity, audit readiness and contamination control. BRCGS partner materials explicitly identify specialist UK cleaning providers serving food and pharmaceutical environments, illustrating that customers in these sectors buy validated process capability rather than generic janitorial labour alone.[379] [374]

Training and standards infrastructure further separates specialists from generalists. BICSc states that specialist skills are recorded on candidate skills cards and that sector-specific units build on a core licence-to-practice foundation, while its healthcare skills are aligned to NHS cleanliness standards, which supports a more professionalised labour model and stronger diligence evidence on workforce capability.[372] [371]

For PE, the attraction is not simply higher gross margin. It is the combination of better customer stickiness, lower tender commoditisation, stronger cross-sell into adjacent support services and a clearer route to multiple protection than in volume cleaning. This is consistent with Moore Kingston Smith's broader finding that investors are increasingly favouring single-service specialists within FM buy-and-build strategies.[42]

9.2

Economic Pressures and Opportunities

The core economic pressure in soft FM cleaning is labour cost inflation. From 1 April 2026, the UK National Living Wage for workers aged 21 and over increased to £12.71 per hour, up 4.1% year on year, and the Low Pay Commission states this is expected to remain ahead of changes in the cost of living through March 2027, creating a real-terms pay rise for minimum wage workers.[358, 360]

That matters disproportionately in cleaning because labour is the dominant cost line and many legacy contracts were priced on thin operating spreads. Inference: where contracts lack robust indexation, frequency-flex mechanisms or scope discipline, even modest wage uplifts can compress EBITDA sharply, which is why smaller owner-managed operators are more vulnerable than scaled platforms with procurement leverage and contract management infrastructure.[199, 42]

The same pressure is also a consolidation catalyst. Wage inflation, tighter supervision requirements and rising customer expectations around auditability increase the fixed-cost burden of operating independently, which can push subscale cleaning businesses toward sale, especially where founders lack systems to reprice contracts, manage labour productivity or evidence service quality.[358, 369]

Title — UK soft FM cleaning pressure points

PRESSURE OR LEVER	CURRENT EVIDENCE	STRATEGIC IMPLICATION
National Living Wage	£12.71 from 1 April 2026 for age 21+ workers.	Direct margin pressure on labour-intensive cleaning contracts.
Annual NLW increase	4.1% in April 2026.	Requires repricing discipline and tighter labour productivity control.
PE activity in FM	90 PE transactions in 2025.	Capital remains available for selective buy-and-build strategies.
PE bolt-on mix	Over 80% of PE deals were bolt-ons.	Cleaning is more attractive as a specialist add-on than as broad aggregation.

Source: [357, 42]

There are, however, strategic opportunities inside the pressure. Buyers with scale can absorb wage inflation better through denser route planning, lower management overhead per site, centralised recruitment, reduced agency dependence and stronger purchasing terms for consumables and equipment. Academic operations research also supports the margin case for better workforce optimisation, with recent studies showing that dynamic scheduling, routing and staffing models can reduce labour usage or improve service efficiency in labour-intensive service settings.[349, 351, 352]

For investors, the implication is that labour inflation should not automatically disqualify the segment. It should instead sharpen target selection toward operators with specialist end markets, repricing mechanisms, low absenteeism, trained supervisors and enough local density to convert scale into measurable labour productivity gains.[372, 42]

9.3

Strategic Roll-Up Opportunities

The most credible roll-up strategy in cleaning is a federated specialist platform with centralised systems, not a loose collection of low-margin contracts. Acquirers should preserve local customer-facing delivery teams where service continuity matters, while centralising finance, payroll, HR, procurement, bid management, compliance reporting and workforce planning to remove duplicated overhead and improve control.[42, 369]

Technology layering is the main margin-improvement lever because it addresses the largest cost base directly. Priority tools include workforce scheduling, mobile time and attendance, digital auditing, site-level productivity benchmarking, consumables tracking and customer reporting dashboards, especially in regulated environments where proof of service matters as much as service delivery itself.[369, 377]

The operational logic is well supported by current optimisation research, even if not specific to UK cleaning alone.

- Scheduling optimisation: Recent arXiv work on worker scheduling shows that algorithmic staffing can minimise labour usage while still meeting time-slot demand requirements, which is directly relevant to multi-site cleaning rosters.[349]
- Dynamic routing and re-optimisation: Research on dynamic multi-skill workforce scheduling shows that real-time re-optimisation can improve throughput and responsiveness in field-service settings, which is applicable to mobile support and specialist cleaning teams.[351]
- Integrated workforce management: Multi-agent optimisation research indicates that dispatch, workforce management and personnel positioning should be managed together rather than as isolated tasks, supporting a platform approach to labour planning.[352]
- Contingent labour control: Learning-based hiring research highlights the cost of delayed onboarding and worker replacement, reinforcing the value of centralised recruitment and retention processes in labour-constrained service models.[350]

A practical PE playbook in UK cleaning should focus on four integration levers.

- Back-office centralisation: Consolidate payroll, invoicing, credit control, HR administration and procurement early, because these functions scale cleanly and create immediate overhead synergies.[42]
- Workforce management: Standardise rota design, absence management, recruitment funnels and supervisor spans of control to reduce labour leakage and agency spend.[349, 350]
- Digital assurance: Implement mobile audits, timestamped task completion and customer-facing reporting, particularly in healthcare and food-grade settings where auditability supports retention and pricing.[369, 379]
- Procurement and standardisation: Rationalise chemicals, consumables, machinery and training pathways across acquired businesses to improve gross margin and reduce operational variance.[371, 372]

The best targets are therefore not the largest revenue bases, but the operators that combine specialist end-market credibility with fragmented ownership and weak central infrastructure. In cleaning, multiple expansion is more likely to come from converting a labour-heavy local contractor into a data-led, compliance-capable specialist platform than from simply aggregating contract revenue.[42] [369]

10

Platform-Building Strategy and Value Creation

10

Platform-Building Strategy and Value Creation

Platform building in UK facilities management is now less about simple revenue aggregation and more about assembling a repeatable operating system around scarce technical capability, recurring compliance revenue and local delivery density. Current sector evidence shows buyers continue to favour technical, recurring and compliance-led services, while hard FM platforms trade at a premium to softer, more labour-arbitrage-heavy models, reinforcing that value creation depends on target quality, integration discipline and exit preparedness rather than acquisition volume alone.[43, 75]

For investors, the practical implication is that the winning UK FM platform is typically a federated model with centralised systems, governance and procurement, but locally retained customer relationships and field leadership. That model is especially relevant in compliance-led hard FM, specialist waste, TIC-adjacent services and niche soft FM, where customer retention and engineer or supervisor continuity are often more valuable than immediate brand consolidation.[394, 43, 387]

10.1

Acquisition Criteria and Target Analysis

Target selection should begin with EBITDA quality, not just EBITDA size. In the current UK FM market, the most actionable bolt-ons are typically subscale but established regional specialists that can be acquired below full platform pricing, while still bringing recurring maintenance books, technical labour and local density; prior sections in this report identified £0.5 million to £3 million EBITDA as a particularly attractive range in hard FM and adjacent technical services.[75, 406, 55]

Title — FM target screening criteria

CRITERION	PREFERRED PROFILE	VALUE CREATION RELEVANCE
EBITDA size	Typically £0.5m to £3.0m for bolt-ons; larger for initial platform assets.	Large enough for management depth, small enough for entry multiple arbitrage.
Revenue mix	High share of recurring PPM, compliance, inspection or contracted service income.	Improves earnings visibility, debt capacity and exit attractiveness.
Customer concentration	No single account typically above 15% to 20% of revenue.	Reduces downside risk and supports premium valuation.
Compliance credentials	Transferable accreditations, audit-ready records, strong HSE and quality systems.	Expands bid eligibility and lowers integration and regulatory risk.

Source: [398, 394, 393]

- Revenue diversification: Buyers should favour targets with a balanced mix of planned maintenance, reactive work and small remedials, while avoiding businesses overly dependent on project revenue, one framework, or one founder-held customer relationship. This is consistent with current UK FM buyer preference for essential, recurring and technically complex services.[43, 75]

- Customer quality: Blue-chip, public-sector and regulated end-market exposure remains a premium attribute, particularly where no single account dominates the book and contract renewal history is demonstrably strong. Current UK valuation guidance for FM businesses explicitly highlights contract quality and customer concentration as major pricing variables.[398 393]
- Compliance and accreditation: ISO 9001, 14001 and 45001 are increasingly baseline expectations for serious acquirers, while service-line-specific credentials such as NICEIC, REFCOM, fire certifications or waste compliance records determine whether revenue is truly transferable. In regulated buy-and-build settings, pre-deal scoring of permissions, governance burden, compliance history and re-papering exposure is now a core diligence discipline.[393 394]
- Workforce depth: A target with employed engineers or trained supervisors, low subcontractor dependence and a credible retention pathway is worth more than a similar revenue base built on bought-in labour. Across UK FM in 2026, scarce technical labour remains one of the clearest differentiators between scalable platforms and fragile aggregations.[43 75]
- Integration fit: The target should be screened not only for standalone quality but also for route density, technology compatibility, reporting maturity, legal-entity complexity and founder dependency. That integration-first lens is increasingly emphasised in UK PE practice, where repeatability now matters more than simply winning the asset.[394 399]

A disciplined acquirer should therefore rank targets on two axes: intrinsic asset quality and platform fit. The best bolt-ons are often not the fastest-growing businesses, but the ones that improve branch density, compliance capability, end-market access or service adjacency in a way that can be repeated across the platform.[75 394]

10.2

Operational Integration Tactics

Operational integration is the point at which a roll-up either becomes a platform or remains a portfolio of unrelated assets. In UK FM, where margins are often thin and service delivery is field-based, value is created by standardising the operating spine while preserving local customer intimacy and technical credibility.[406 43]

- ERP and finance integration: Early consolidation of finance, payroll, purchasing and management reporting is usually the fastest route to control and synergy capture. Integration guidance for PE-backed companies in 2026 continues to stress rapid alignment of IT systems and reporting to create visibility over margin leakage, working capital and branch performance.[402 394]
- CAFM and field-service systems: A common CAFM or field-service layer is critical for work orders, PPM scheduling, asset registers, mobile job completion, SLA tracking and customer reporting. In FM, this is not just an IT upgrade; it is the mechanism that converts fragmented local delivery into auditable, scalable service performance.[75 387]
- Workforce management: Standardised scheduling, rota design, absence control, recruitment workflows and training records are essential because labour utilisation is the main margin lever in both hard and soft FM. Current research on integrated platform models and workflow orchestration supports the broader point that multi-entity service businesses create value when operational data, workforce processes and customer workflows are synchronised rather than left in separate local systems.[389 387]
- Compliance infrastructure: Integration should prioritise a single governance framework for HSE, quality, accreditations, audit trails, incident reporting and customer evidence packs. In regulated

buy-and-build environments, scalable platforms are defined by strong central functions, clear governance and usable reporting, not just by acquisition count.[394] [393]

- Procurement and supplier rationalisation: Central purchasing of consumables, parts, subcontractor panels, fleet and insurance can create immediate savings, but only if technical teams retain enough flexibility to meet local service requirements. This is especially relevant in FM because over-centralisation can damage first-time fix rates or response performance.[75] [43]
- Brand architecture: Full rebranding is not always optimal. Evidence from platform integration research suggests that preserving acquired brands can reduce customer attrition where local trust is important, which is highly relevant in regional FM and compliance services where relationships are often branch-led and founder-originated.[386]

The most effective integration model in UK FM is therefore selective centralisation. Finance, systems, governance and procurement should be centralised early, while customer-facing operations, local management and technical identity are often better integrated in phases to protect retention and service continuity.[394] [43]

Multiple expansion follows from this operating model. Entry pricing for owner-managed FM businesses is typically lower because of founder dependence, weaker systems and narrower buyer pools, while scaled platforms with recurring revenue, stronger governance, broader end-market access and repeatable integration capability attract materially deeper capital and stronger exit pricing; current UK FM sale guidance cites broad SME FM trading ranges of roughly 3x to 8x adjusted EBITDA, while premium compliance and technical-service platforms can command higher levels depending on revenue quality and scale.[393] [43] [397]

In practice, the bridge from entry multiple to exit multiple is created by five repeatable levers: improving revenue visibility, reducing key-person risk, professionalising compliance, lifting margins through systems and procurement, and repositioning the business from a local contractor to a scaled technical-services platform. Those are the mechanics that turn fragmented FM assets into institutional-quality exit candidates.[75] [397] [399]

10.3

Exit Strategy Options

Exit planning should be embedded at platform formation, because the likely buyer universe shapes both acquisition strategy and integration priorities. In UK FM and adjacent technical services, the three most credible pathways are trade sale, secondary PE sale and, more selectively, public market listing or listed-platform combination.[75] [400]

- Trade sale: This is often the most natural route for FM platforms that have built scarce capability, regional density or regulated-service adjacency. Strategic buyers typically pay for synergies they can underwrite directly, especially where the platform adds technical depth, public-sector access, compliance infrastructure or cross-sell into an existing customer base.[75] [43]
- Secondary PE sale: This remains a highly credible route where the first sponsor has proven the platform thesis but further whitespace remains. Current 2026 market commentary indicates that secondary deals continue to be a major exit channel in private equity, particularly for businesses that have already professionalised reporting, governance and integration playbooks but still offer runway for further bolt-ons or internationalisation.[400] [401]
- Public market listing: An IPO is the least common route for mid-market FM platforms, but it remains relevant for larger technical-services groups with strong recurring revenue, visible

margins, differentiated end-market exposure and a credible consolidation narrative. Public-market evidence cited earlier in this report shows hard FM and technical services trading at a premium to softer service models, which is the key condition under which a listing becomes plausible.[43] [397]

- Partial exit or recapitalisation: In some cases, founders and first sponsors may prefer a recap, minority sale or continuation-style structure if the platform still has substantial acquisition runway. This is an inference from broader 2026 PE exit market practice rather than a UK FM-specific published statistic, but it is consistent with the wider increase in flexible exit structures where full IPO windows remain selective.[400] [401]

The most exitable UK FM platforms will usually share the same characteristics regardless of route.

- High recurring revenue and low customer concentration.
- Strong compliance and audit infrastructure.
- Demonstrable margin progression and cash conversion.
- A repeatable acquisition and integration playbook.
- Clear positioning in technical, compliance-led or specialist end markets.

For investors, the central conclusion is that value creation in UK FM is cumulative and path-dependent. Buy well, integrate selectively, professionalise the operating model, and build a platform that a strategic buyer, a larger sponsor or, in rarer cases, public investors can underwrite as a scaled technical-services business rather than a collection of local contractors.[75] [399] [397]

11

Risks, Headwinds and Market Considerations

11
Risks, Headwinds and Market Considerations

UK FM roll-up strategies remain attractive, but the risk profile has risen as capital has crowded into the same technical and compliance-led niches that offer the strongest recurring revenue characteristics. For investors, the central issue in 2026 is no longer whether fragmentation exists, but whether acquisition discipline, labour retention and contract repricing can keep pace with higher entry valuations, tighter operating conditions and more demanding integration requirements.[43, 55]

The main headwinds are interconnected. Competition for quality targets pushes up multiples in fire, security and TIC; labour scarcity raises the value of self-delivery capability while increasing execution risk; and the macro backdrop still requires careful underwriting of debt costs, customer budgets and contract pass-through mechanics. In that environment, successful roll-ups need a more selective origination model, a tighter integration cadence and a clearer bias toward assets with pricing power, accreditation depth and resilient end-market exposure.[48, 57, 415]

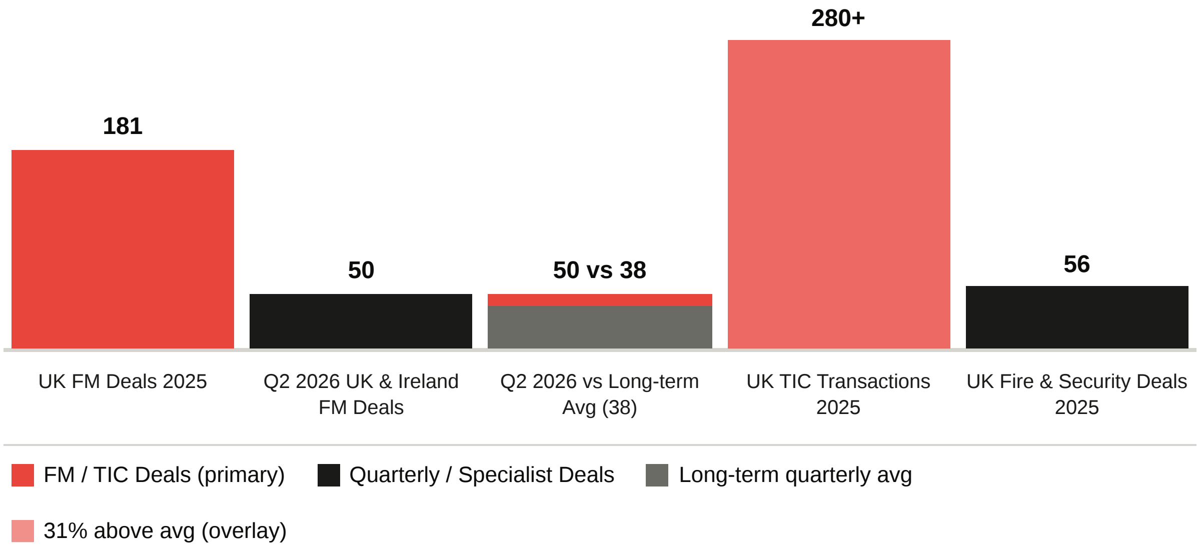
11.1
Competitive Landscape Risks

Competition for targets has intensified most visibly in the premium technical-service lanes already identified in this report. UK FM recorded 181 transactions in 2025, while Q2 2026 still delivered 50 deals across the UK and Ireland, 31% above the long-term quarterly average of 38, confirming that buyer appetite has remained elevated rather than reverting after the 2025 spike.[55, 43]

Title — Competitive pressure indicators in UK FM

INDICATOR	2025 OR 2026 LEVEL	RISK IMPLICATION
UK FM deals in 2025	181	More crowded auction environment for quality assets.
Q2 2026 UK and Ireland FM deals	50	Activity remains above trend rather than normalising.
Q2 2026 vs long-term quarterly average	31% above 38	Sustained buyer competition supports pricing tension.
UK TIC transactions in 2025	280+	Premium compliance assets face heavy repeat-buyer interest.
UK fire and security deals in 2025	56	Specialist life-safety assets remain highly contested.

Source: [55, 43, 57, 48]



- Multiple inflation risk: In TIC and adjacent compliance services, disclosed transaction multiples commonly sit in a 7.5x to 12.5x EBITDA range for quality assets, while hard FM public comparables continue to trade at a premium to soft FM peers. That creates a real risk that buyers overpay for revenue that looks defensive on paper but is operationally dependent on a small technical team, a narrow accreditation base or a handful of key customer relationships.[57] [43]
- Platform crowding risk: Fire and security and TIC now have multiple active repeat acquirers, including sponsor-backed platforms that can move quickly and pay for strategic fit rather than standalone earnings alone. That reduces the availability of bilateral opportunities and increases the probability that the best assets are sold through competitive processes with aggressive synergy assumptions embedded in price.[48] [57]
- Adverse selection risk: As competition rises, first-time entrants are more likely to win the assets that incumbent consolidators decline. In practice, that can mean inheriting weaker maintenance books, higher subcontractor dependence, unresolved compliance issues or customer contracts that are less repricable than headline EBITDA suggests. This is an inference from current market structure and buyer behaviour rather than a directly published statistic.[43] [55]
- Integration congestion risk: High deal velocity can itself become a headwind. Platforms pursuing rapid bolt-on programmes may struggle to integrate finance, compliance, CRM, CAFM and workforce processes at the same pace as acquisitions, which can delay synergy capture and weaken the evidence base for future exits.[394] [399]
- Mitigation priority: Investors should place more weight on proprietary origination, sub-sector adjacency and regional clustering than on headline deal count. The best defence against multiple inflation is to buy assets that improve engineer density, accreditation breadth or end-market access in a way that a broader buyer universe may undervalue at entry.[43] [48]

11.2

Labor and Regulatory Constraints

Labour remains the most persistent operating constraint across UK FM roll-ups, but the nature of the pressure differs by sub-sector. In soft FM, the issue is direct wage inflation and labour intensity; in hard FM, lifts, fire, TIC and specialist compliance, the more material constraint is scarcity of qualified engineers, inspectors and supervisors who can deliver regulated work at scale.[198, 418]

- Wage inflation risk: The National Living Wage for workers aged 21 and over increased to £12.71 from 1 April 2026, up 4.1% year on year, and the Low Pay Commission expects the 2026 uprating to deliver another real-terms increase by March 2027. For labour-heavy FM contracts, especially cleaning and lower-margin maintenance books, that raises the break-even point on legacy contracts and increases the importance of indexation, scope control and productivity management.[358, 198]
- Skilled labour scarcity: UK policy materials on industry training board reform state that 61% of micro and SME building firms report being affected by skilled labour shortages, with 49% reporting job delays and 23% cancellations, while there were around 28,000 construction vacancies in the three months to January 2026. Although FM is broader than construction, these figures are highly relevant to hard FM, M&E and compliance services that draw from the same technical labour pool.[418]
- Self-delivery risk: In technical FM, a target's value can deteriorate quickly if key engineers leave post-acquisition or if the business relies too heavily on subcontractors. This is especially acute in lifts, fire systems, M&E and TIC, where accreditations, customer trust and service continuity are often tied to named individuals rather than to the legal entity alone.[43, 48, 57]
- Regulatory scaling risk: Regulation supports demand, but it also raises the cost of integration. Acquirers must preserve certifications, quality systems, training records, audit trails and service evidence across acquired entities, and any failure to harmonise these controls can interrupt revenue, delay mobilisation or create liability exposure.[394, 427]
- Compliance burden asymmetry: Smaller founder-led targets often look attractive because they have strong local customer books, but they may be underinvested in HR, HSE, payroll compliance, right-to-work checks, training records and digital job evidence. That means the buyer is not only acquiring earnings, but also inheriting a remediation programme that can absorb management time and near-term cash. This is an inference supported by current FM integration guidance and public procurement expectations.[394, 427]
- Mitigation priority: The most effective response is to underwrite labour and compliance as core assets, not overhead lines. Investors should prioritise retention packages for key technical staff, apprenticeship and training pathways, early compliance audits, and phased systems integration that protects local delivery continuity while centralising governance.[418, 394]

11.3

Macroeconomic and Strategic Considerations

The macro backdrop in August 2026 is more stable than the 2022 to 2024 period, but it is not benign. The Bank of England held Bank Rate at 3.75% in June 2026, indicating that financing conditions remain materially tighter than the ultra-low-rate environment in which many earlier buy-and-build models were conceived.[415]

- Debt and valuation discipline: A 3.75% Bank Rate still implies a meaningful cost of leverage for mid-market acquisitions, particularly where lenders haircut synergy assumptions or apply caution to labour-intensive earnings. This reduces tolerance for overpaying on entry and increases the importance of cash conversion, covenant headroom and realistic integration timing in the investment case.[415, 399]

- Cost inflation pass-through risk: Arrowpoint notes intensifying pressure across labour, materials and energy in 2026, partly linked to government employment policies and broader geopolitical events. For FM operators, the strategic question is whether contracts allow timely repricing, because essential-service demand does not automatically protect margins if cost recovery lags wage and input inflation.[43]
- Client budget pressure: Even where FM services are non-discretionary, customers can still defer non-urgent remedials, rebid soft-service scopes, reduce service frequencies or push harder on procurement terms. That risk is highest in commoditised soft FM and lower-value maintenance books, and lower in safety-critical, compliance-led and uptime-sensitive services where deferral is harder. This is an inference from current sector deal patterns and buyer preference for technical services.[43] [75]
- Strategy selection risk: The macro environment increases the penalty for choosing the wrong sub-sector. Roll-ups built around commoditised revenue, weak contract indexation or dispersed geographies are more exposed to margin erosion and integration drag, whereas platforms focused on compliance-led hard FM, specialist waste, energy services and technical maintenance have better prospects for repricing and multiple resilience.[75] [43]
- Exit environment risk: Higher financing costs and selective buyer behaviour can narrow the exit universe for partially integrated or lower-quality platforms. In practical terms, investors need to build businesses that can withstand more forensic diligence on customer retention, labour stability, compliance governance and margin quality, rather than assuming that sector momentum alone will support an attractive secondary exit.[399] [397]
- Mitigation priority: Strategic underwriting should now assume slower multiple expansion and place greater emphasis on operational alpha. The most robust UK FM roll-up theses in 2026 are those that combine conservative leverage, strong contract repricing mechanics, regional density, technical labour retention and a federated integration model capable of preserving service quality while scaling governance.[415] [394] [43]

12

References and Sources

12

References and Sources

This section consolidates the source base used across the report and distinguishes between primary market evidence, secondary contextual materials, and the analytical methods applied. Sources were selected on the basis of recency, UK relevance, direct linkage to facilities management or adjacent technical services, and evidential usefulness for investor and M&A analysis as of August 25, 2026.

12.1

Primary Sources

The report relied primarily on current UK market trackers, official government publications, regulatory guidance, company disclosures, procurement notices, and original research papers that directly informed market sizing, deal activity, regulatory drivers, operating characteristics, and platform case studies.

- Market and deal activity: Moore Kingston Smith, "Facilities management and property services M&A insight report 2025," published June 1, 2026. Used for 2021 to 2025 FM deal volumes, PE participation, bolt on mix, hard FM share, and waste deal growth.[42]
- Current market momentum: Arrowpoint Advisory, "Q2 2026 Facilities Management update: Facilities management M&A remains resilient as investors back technical services," published July 2026. Used for Q2 2026 transaction volume, long term quarterly average, buyer appetite, and technical services valuation context.[43]
- Fire and security transactions: Grant Thornton UK, "UK fire and security sector M&A review 2025." Used for 2025 fire and security deal count, PE backed share, fragmentation commentary, and sub £1 million EBITDA target profile.[48]
- TIC transactions and valuations: Crowe UK, "Testing, Inspection and Certification: Why resilience continues to attract consolidation," and "Testing, Inspection and Certification M&A and valuations." Used for 2025 UK TIC transaction count, Q1 2026 pace, buyer mix, and disclosed valuation ranges.[57, 135]
- FM market size and growth: Mordor Intelligence, "United Kingdom Facility Management Market." Used for 2026 market size estimate, 2026 to 2031 CAGR, hard services share, and outsourced share.[13]
- Outsourced FM market growth: CBRE, "UK Trends in Facilities Management for 2025." Used for outsourced market value and 2024 to 2025 growth commentary citing Frost and Sullivan.[26]
- Market concentration and profitability: The Accounts, "UK facilities management market." Used for concentration ratios, profitability by turnover band, and median margin observations.[406]
- Official business data: Office for National Statistics ad hoc release on facilities management count, employment and turnover. Used to frame SIC coverage limitations and visible market boundaries.[17]
- Fire safety regulation: UK Government guidance on the Fire Safety Act 2021, Fire Safety England Regulations 2022, and Section 156 of the Building Safety Act 2022. Used for compliance obligations, enforcement implications, and recurring demand drivers.[99, 84, 101]

- Fire standards: BSI overview of BS 5839 series. Used to support recurring maintenance and standards based service requirements.[98]
- Fire platform case study: New Path Fire and Security acquisition pages and Duke Capital portfolio materials. Used for platform history and acquisition pace.[80] [81]
- TIC platform disclosures: Oakley Capital on Phenna Group and Inflexion on Celnor Group. Used for platform formation, acquisition pace, and strategic scope.[145] [137] [136]
- Lift market structure and procurement evidence: UK Find a Tender, Contracts Finder, NEUPC, Efficiency North, A2Dominion, Skills England apprenticeship standard, and apprenticeship training finder. Used for OEM versus aftermarket structure, contract design, regional delivery, and labour scarcity.[158] [160] [161] [164] [166] [176] [177]
- Hard FM operating standards and procurement: UK Government FM Standard 001, Crown Commercial Service RM6378, and public tender documents. Used for CAFM, asset registers, compliance workflows, and procurement expectations.[200] [217] [210]
- Wage and labour cost data: Low Pay Commission report 2025, National Minimum Wage 2026 guidance, and 2026 uprating report. Used for National Living Wage levels and cumulative increase analysis.[198] [357] [209]
- Specialist waste regulation: GOV.UK hazardous waste, WM3 classification, duty of care code, waste carrier registration, healthcare waste guidance, and NHS HTM 07 01. Used for regulatory moat analysis and end market differentiation.[267] [269] [266] [261] [262] [264]
- Energy and EPC regulation: UK Government interim response on non domestic MEES EPC B implementation, parliamentary written answer, SECR evaluation, and smart metering materials. Used for 2031 compliance catalyst and recurring data service demand.[304] [308] [321] [332]
- Energy market evidence: JLL and BCIA. Used for EPC B exposure, occupancy implications, and UK building controls market revenue.[305] [329] [322]
- Soft FM standards and training: NHS England National Standards of Healthcare Cleanliness 2025, BICSc training and healthcare skills materials, and BRCGS partner materials. Used for specialist cleaning differentiation and auditability.[369] [372] [371] [379]
- Valuation and exit context: Investec technical services valuation update, KPMG UK private equity landscape, ICAEW corporate finance commentary, and Bank of England Bank Rate page. Used for valuation framing, exit conditions, and financing backdrop.[397] [399] [400] [415]
- Academic and original research papers used selectively for methodology and operating model support: arXiv papers on predictive maintenance, digital twins, workforce scheduling, platform integration, and PE signal extraction.[431] [195] [434] [436] [429]

Primary sources were prioritised where they provided direct transaction counts, official regulatory text, company disclosed acquisition histories, procurement specifications, or original research methods. Where a source was commercial rather than statutory, it was used for directional market evidence only when it was current, specific, and consistent with other primary materials.

12.2

Secondary Sources

Secondary sources were used to triangulate market structure, contextualise sub sector dynamics, and support interpretation where no single official dataset captured the full UK FM landscape.

- Market commentary and sector framing: BDO, "Facilities management: value, transformation and opportunity in M&A," used to support hard FM share gains, technical services buyer preference, and broader FM investment themes.[52]
- Additional hard FM commentary: Crowe UK, "Building services and hard FM." Used to support technical maintenance attractiveness and operating constraints.[203]
- TIC broader market context: Houlihan Lokey TICC sector materials and Oaklins consolidation commentary. Used to contextualise premium valuation ranges and repeat buyer behaviour.[146] [141]
- Waste sector context: PKF Smith Cooper and PKF Francis Clark deal reviews, plus specialist environmental transaction commentary. Used to frame wider investor interest and adjacency opportunities beyond FM specific trackers.[250] [251] [249]
- Energy and sustainability context: CBRE sustainability materials and Stephenson Harwood energy transition insights. Used to support convergence between compliance, financing, and decarbonisation themes.[328] [325] [336]
- FM technology and software context: Planon and Facilities Management Forum materials. Used directionally for CAFM, field service, and digital workflow adoption themes.[228] [202]
- Succession and SME ownership context: Exit Leads UK succession dataset. Used directionally to support ageing ownership and succession pressure in SME heavy service sectors.[208]
- Integration and PE operating model context: Ridley & Co, Compello Partners, and Carlyle market commentary. Used to support integration sequencing, governance, and exit pathway discussion.[394] [402] [401]
- Industry and professional bodies: IWFM, RICS, and i-FM research pages. Used as contextual references for sector breadth, sentiment, and market intelligence availability, but not as sole support for key quantitative claims.[441] [14] [443]
- Specialist commercial sources used cautiously: Durant Lifts and selected operator or framework materials. These were used only for directional insight on contract structures, aftermarket dynamics, or service models, and were not treated as definitive market statistics.[159]

Secondary sources were used only where they added interpretive value, filled coverage gaps, or corroborated primary evidence. Quantitative claims central to the investment case were anchored wherever possible in official publications, proprietary M&A trackers, or direct company and platform disclosures rather than in commentary alone.

12.3

Methodologies

The report applied a triangulated market insight methodology designed for investor and M&A use cases, combining transaction analysis, regulatory mapping, market structure assessment, and operating model review.

- Source hierarchy: Evidence was ranked in descending order of reliability, with official government and regulator publications first, proprietary transaction trackers and company disclosures second, and commercial commentary or directional industry materials third. Conflicting figures were resolved by favouring the most recent UK specific source with the clearest methodology.
- Market sizing approach: The report did not rely on a single headline market number. Instead, it distinguished between total FM market estimates, outsourced FM estimates, and visible SIC

coded activity to avoid false precision and to reflect the fragmented classification of UK FM services.

- Deal activity framework: M&A analysis was based on completed transaction counts reported by specialist advisers and sector trackers, with emphasis on trend direction, buyer mix, sub sector concentration, and repeat platform behaviour rather than on nominal headline volume alone.
- Sub sector attractiveness screen: Each vertical was assessed against a common investor lens covering fragmentation, recurring revenue, compliance intensity, labour scarcity, route density, customer switching costs, and integration feasibility. This created comparability across fire and security, TIC, lifts, hard FM, waste, energy services, and soft FM.
- Roll up suitability criteria: Target profiles were evaluated using EBITDA scale, revenue mix, customer concentration, accreditation transferability, workforce depth, and geographic fit. This framework was used consistently across the report to identify where multiple arbitrage and operational synergies are most plausible.
- Regulatory demand mapping: For compliance led verticals, the analysis linked statutory obligations or standards directly to service demand persistence. This was especially important in fire safety, waste, energy efficiency, and healthcare cleaning, where regulation affects both revenue resilience and diligence risk.
- Platform case study method: Named platforms such as New Path, Phenna, and Celnor were used as illustrative operating precedents rather than as exhaustive market maps. Inclusion required a verifiable acquisition record or sponsor disclosure from a primary source.
- Valuation interpretation: Where disclosed private market multiples were sparse, the report used a blend of sector specific transaction commentary, public market read through, and revenue quality factors to explain valuation dispersion. No unsupported average multiple was imposed across the whole FM market.
- Use of academic research: arXiv sourced papers were used selectively to support methodological points on predictive maintenance, digital twins, workforce optimisation, and platform integration logic. They were not used as substitutes for UK market data, but as analytical support for operational value creation themes.[195] [436] [431] [429]
- Inference discipline: Where the report drew an inference rather than citing a directly published statistic, that was stated explicitly in the body of the report. Inferences were limited to cases where multiple sources pointed in the same direction but no single source expressed the conclusion in identical terms.
- Time relevance: All source selection and interpretation were aligned to August 25, 2026. Where a source referred to 2025, Q1 2026, or Q2 2026, the report preserved those exact periods to avoid blending historical and current data.

Overall, the methodology was designed to produce an investment grade synthesis rather than a simple literature summary. The analytical objective was to identify where fragmentation, compliance, labour dynamics, and platform economics combine to create the most credible UK FM roll up opportunities.

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